

# Auto Financing Strategy

Steering Committee #1

19<sup>th</sup> June 2025



# Executive summary

## Market size and ERB positioning

- Current **Auto finance market** is estimated at **~240M€ RAR<sup>1</sup>**, split across retail<sup>2</sup> (~90M€) and SME & corporate (~150M€) and it is expected to grow to **~380M€ by 2030** (+~50%) driven by ~80M€ growth in retail (x2) and ~40M€ growth in SME & Corporate
- ERB is currently present in the **retail auto loan** (~27% market share), but it is (almost) not present in **retail operating leasing** and **SME & corporate**, resulting in an effective market share of **~20% in retail** and **~8% in total auto finance market**

## “Where to play” and value at stake

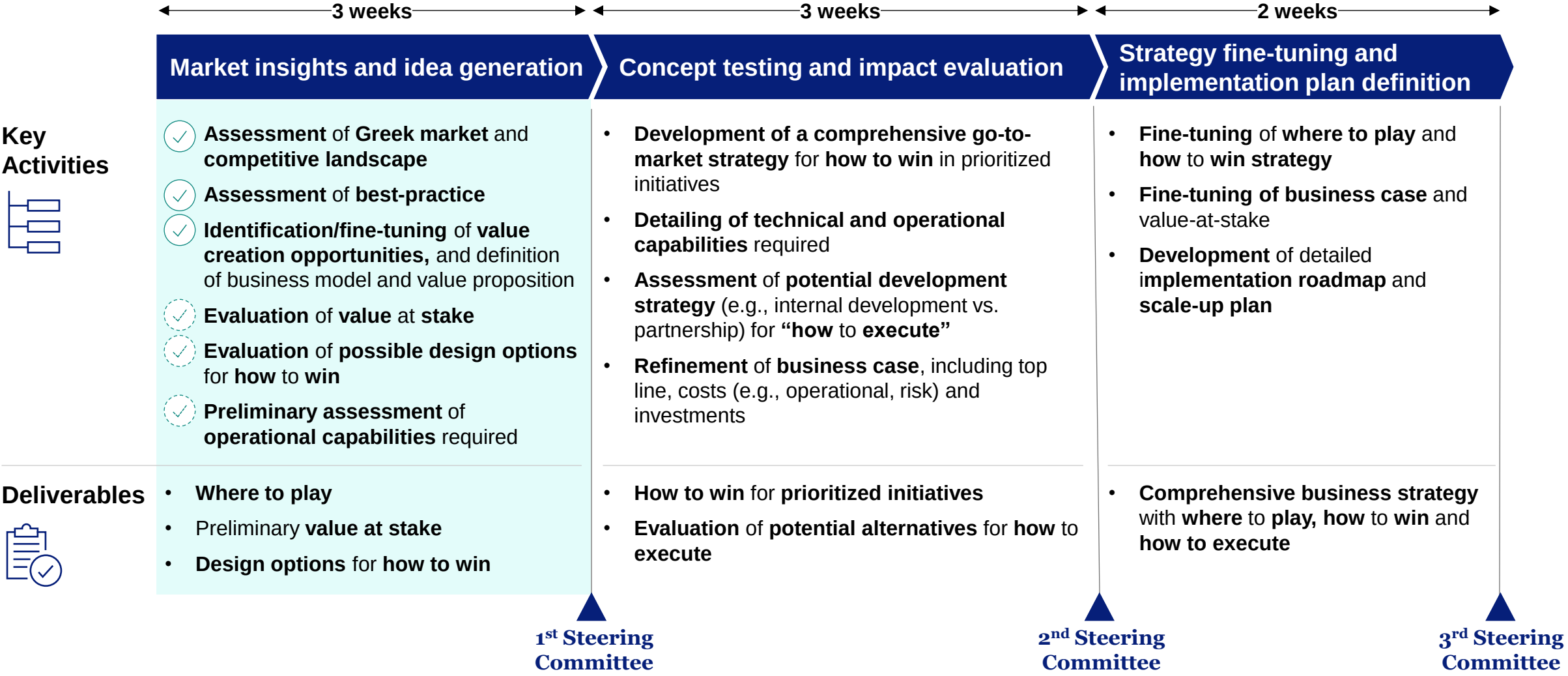
- To drive growth in auto finance, Eurobank can position itself by 2030 as the **#1 “captive” bank for independent dealers** by delivering a **comprehensive-omnichannel B2C offering** (i.e., dealers’ owned channels and dealers’ listings on marketplaces such as Car.gr) and by supporting them through **B2B financing** (e.g., floorplan), while building a **D2C proposition**
  - **Three main growth areas in retail** could generate **~20-25M€ of additional RAR** for ERB, more than doubling today’s contribution and **increasing market share from ~20% today to ~30% in 2030**: A) Entering the **leasing market**; B) Expanding the **digital presence** through owned and 3<sup>rd</sup> party channels; C) Increasing **used car financing**
  - **Additional not yet sized opportunities** have been identified: D) Increasing **cross-selling of insurance products** (e.g., CPI); E) Launching **B2B financing offerings**; F) entering **SME & corporate leasing**
- To start this journey Eurobank could launch a **(financial) leasing product**, provide **B2B financing solutions** and **integrate B2C financing** into **Car.gr** to secure its positioning with dealers

## Preliminary assessment of “How to win”

- (A) **Leasing offering**:
  - **Option 1**: build **in-house Pricing, Residual Value (RV) management** and **Re-marketing** capabilities, while **partnering with dealers** for car sourcing and services (i.e., maintenance, repairs, tires)
  - **Option 2**: build **JV with Hertz or Avis**
- (B) **Digital presence**: develop an **API based best-of-breed omnichannel journey** for **OEMs, dealers and marketplace** and adapt current **digital delivery model** (for time-to-market <6 months)
- (C) **Used car financing**: review **credit policy** and develop **balloon financing product** for **auto** (e.g., journey, credit policies)
- In addition, two **cross initiatives enablers** must be in place: i) **vehicle re-possession capabilities** to provide **secured lending**; ii) new **origination platform** to support target offering

# Project status update

 Ongoing activity
  Completed activity
  Focus of today



## Objectives of the meeting

- **Review current and projected market sizing** for auto finance and **Eurobank positioning**
- Align on Eurobank **target strategic positioning** (“where to play”) and **growth potential**
- Discuss preliminary **strategic directions on key initiatives** (“how to win”)
- Align on **next steps**

# Sources of insights

## Source

**30+**

**Interviews with Eurobank teams** across several divisions

**5+**

**Interviews with market experts** on products and channels

**10+**

**Market reports** analyzed on **key trends** and statistics in the **Greek market**

**5+**

**McKinsey benchmarks** with **international and European players**

## Including...

Individual banking division

Partnership channel executive (LeaseCo)

Operating leasing market

Europe G5 financing penetration rate for retail passenger cars

Retail external and alternative channels division

Product manager (OEM captive)

Financial leasing market

Car finance digital benchmark of German marketplaces

Credit policy retail division

Head of partnership mgt. for digital retail (German digital marketplace)

Car sales evolution

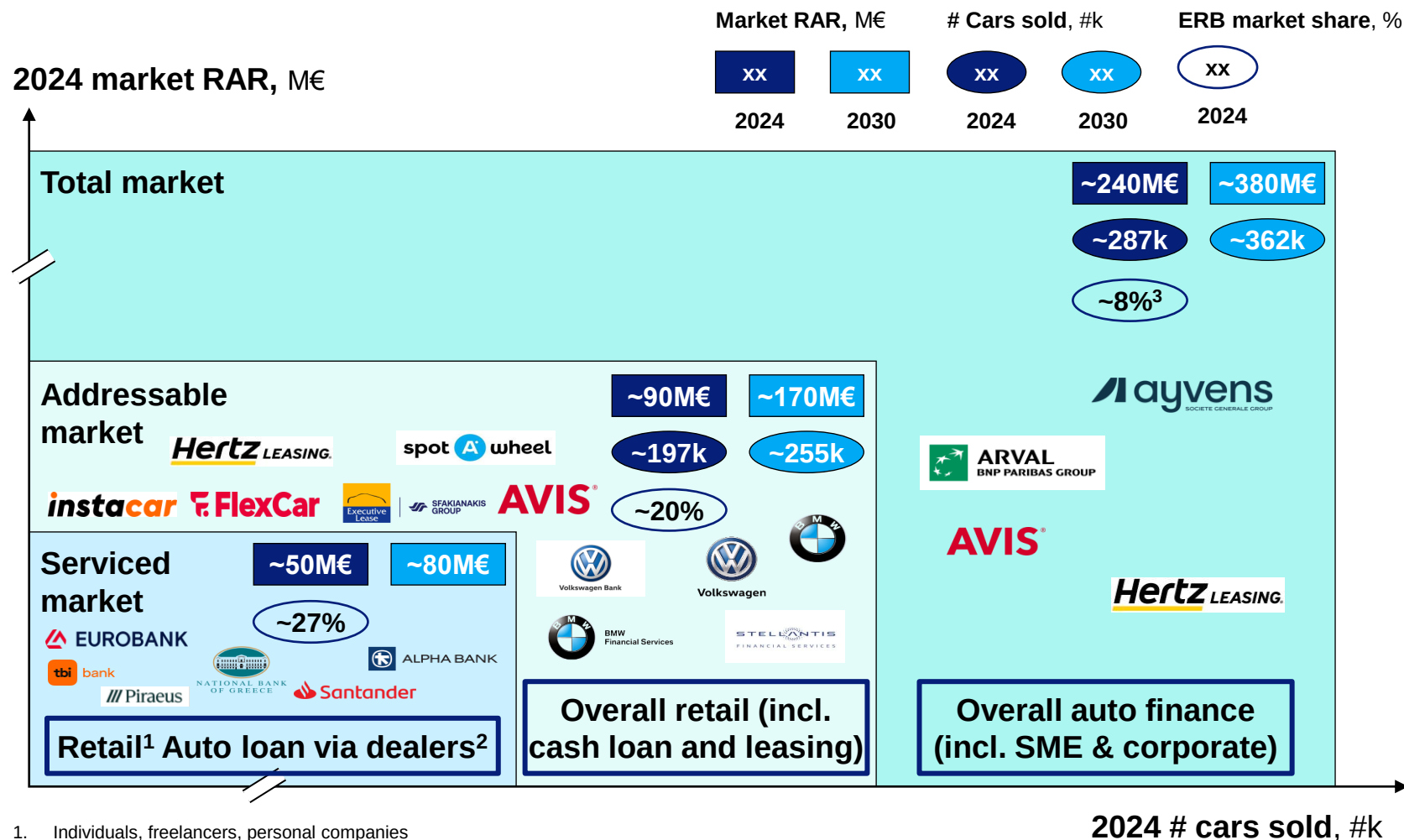
Macroeconomic trends (e.g., inflation)

Retail auto finance benchmarking of key product features

FP&A retail division

# Eurobank holds a leading position in retail auto loans, capturing ~27% of value generated, yet it captures only ~8% of the total market

## 2024 market outlook and growth potential: revenue potential and # cars sold



## Key insights

### 1 2024 market

Eurobank holds a **leading position in retail auto** loans, capturing ~27% of value generated, yet it **captures <10% of the total market** as it is not present in new pockets of growth (e.g., operating leasing) and (almost) **SME & corporate segments** which are dominated by Captive OEMs and LeaseCos

### 2 2030 market

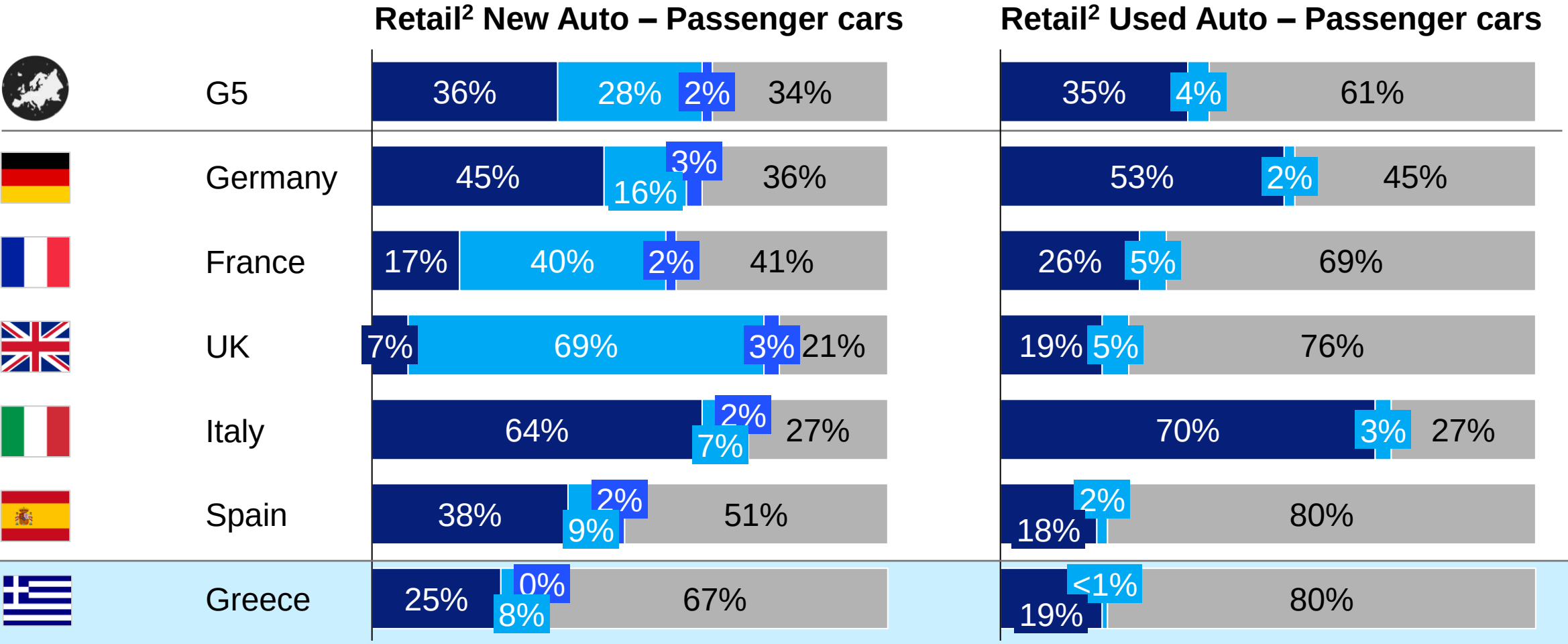
The Greek auto finance value pool is expected to **grow by ~50%**, reaching **~380M€ in revenue after risk**, driven by rising car sales and increasing financing penetration

1. Individuals, freelancers, personal companies
2. Including dealers with OEM captives
3. Does not include Eurobank Leasing exposures in SME & Corporate segment

# 1 | Retail: Greek auto financing lags behind European G5, with ~80% of transactions still paid in cash

■ Loan financing<sup>1</sup> ■ Leasing ■ Subscription ■ Cash

Penetration rate for passenger cars in Europe in 2023 (Greece in 2024) by financing product, %



1. For Eurobank, it includes also cash loan used for Auto ; 2. Individuals, freelancers, personal companies  
Source: Internal McKinsey model

# 1 | Retail: Eurobank holds a leading position in loan, with the remaining market dominated by LeaseCos and captive OEMs

Non exhaustive

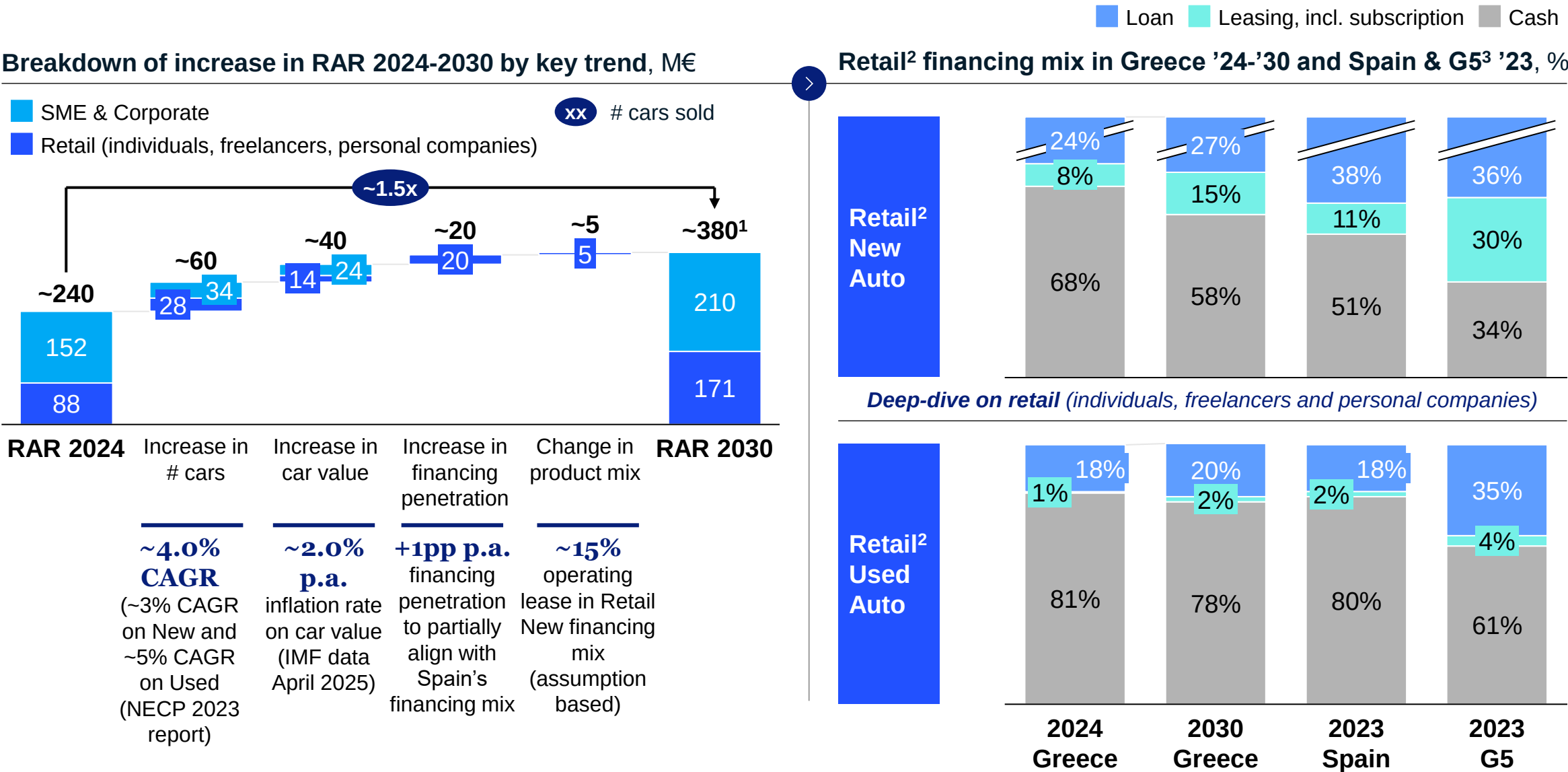
Current ERB positioning

Current mapping of auto finance players in retail<sup>1</sup> segment across products and channels

|               |                   | Retail (individuals, freelancers, personal companies) |                                      |                                                  |                                                              |                                      |                                                           |
|---------------|-------------------|-------------------------------------------------------|--------------------------------------|--------------------------------------------------|--------------------------------------------------------------|--------------------------------------|-----------------------------------------------------------|
|               |                   | Dealer owned channels                                 |                                      | OEMs                                             | Banks                                                        | LeaseCos                             | Digital platforms<br>(e.g., marketplaces/<br>aggregators) |
|               |                   | Independent dealers                                   | Dealers with captives                |                                                  |                                                              |                                      |                                                           |
|               |                   |                                                       |                                      |                                                  |                                                              |                                      |                                                           |
| Product offer | Auto loan         | New ~35%                                              | ALPHA BANK<br>EUROBANK               | BMW Financial Services                           | BMW                                                          |                                      |                                                           |
|               |                   | Used ~15%                                             | Santander tbi bank<br>Piraeus        | Volkswagen Bank<br>STELLANTIS FINANCIAL SERVICES | Volkswagen                                                   |                                      | Santander                                                 |
|               | Cash loan         | New                                                   |                                      |                                                  |                                                              |                                      |                                                           |
|               |                   | Used                                                  |                                      |                                                  | ALPHA BANK<br>EUROBANK<br>Santander tbi bank<br>Piraeus ~30% |                                      | ALPHA BANK<br>tbi bank                                    |
|               | Financial leasing | New                                                   |                                      |                                                  |                                                              |                                      |                                                           |
|               |                   | Used                                                  |                                      |                                                  |                                                              |                                      |                                                           |
|               | Operating leasing | New                                                   | Hertz LEASING.<br>AVIS               | BMW Financial Services                           | Mercedes-Benz                                                | Hertz LEASING.<br>AVIS               | FlexCar<br>instacar                                       |
|               |                   | Used                                                  | Executive Lease<br>SFAKIANAKIS GROUP | Volkswagen Bank<br>STELLANTIS FINANCIAL SERVICES | Volkswagen                                                   | Executive Lease<br>SFAKIANAKIS GROUP | spot wheel                                                |

1. Individuals, freelancers, personal companies

# 2 | Looking ahead, the Greek auto finance value pool is expected to increase by 50%, reaching ~380M€ in revenue after risk by 2030



1. Including a mixed effect of ~15M€ ; 2. Individuals, freelancers, personal companies, For Spain and G5: penetration rate for B2C passenger cars  
Source: Hellenic Republic Ministry of Environment and Energy: NECP page 62, IMF Datamapper April 2025, Internal McKinsey model for G5 penetration rate for B2C passenger cars

McKinsey & Company 9

## 2 | Leasing will lead the growth in retail and continue to hold a strong foothold in the SME & corporate market

CAGR 2024-2030, %    +x% Moderate growth, <10%    +x% High growth, ~10-15%    +x% Very high growth, 15%+

 Deep-dive next

Breakdown of 2030 revenue after risk (RAR) potential per segment and product offering, M€

|               |                                   | Retail <sup>1</sup> | SME & corporate                                                                       | Total                                                                                  |             |
|---------------|-----------------------------------|---------------------|---------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|-------------|
| Product offer | Loan (auto loan and cash loan)    | New Auto            | ~45M€ +10%                                                                            | <1M€ +5%                                                                               | ~45M€ +10%  |
|               |                                   | Used Auto           | ~75M€ +10%                                                                            | <1M€ +5%                                                                               | 75M€ +10%   |
|               | Leasing (financial and operating) | New Auto            | <div>A</div> <div>~40M€ +20%<br/>(~30M€ from L&amp;S and ~10M€ from asset mgt.)</div> | <div>B</div> <div>~210M€ +5%<br/>(~160M€ from L&amp;S and ~50M€ from asset mgt.)</div> | ~250M€ +5%  |
|               |                                   | Used Auto           | ~10M€ +30%<br>(~7M€ from L&S and ~3M€ from asset mgt.)                                | <1M€ +5%<br>(<1M€ from L&S and <1M€ from asset mgt.)                                   | ~10M€ +30%  |
|               |                                   | Total               | ~170M€ +10%                                                                           | ~210M€ +5%                                                                             | ~380M€ +10% |

### Key insights

Total revenue after risk potential of ~380M€, with ~45% contribution from Retail<sup>1</sup> segment (~170M€) and ~55% from SME & corporate segment (~210M€)

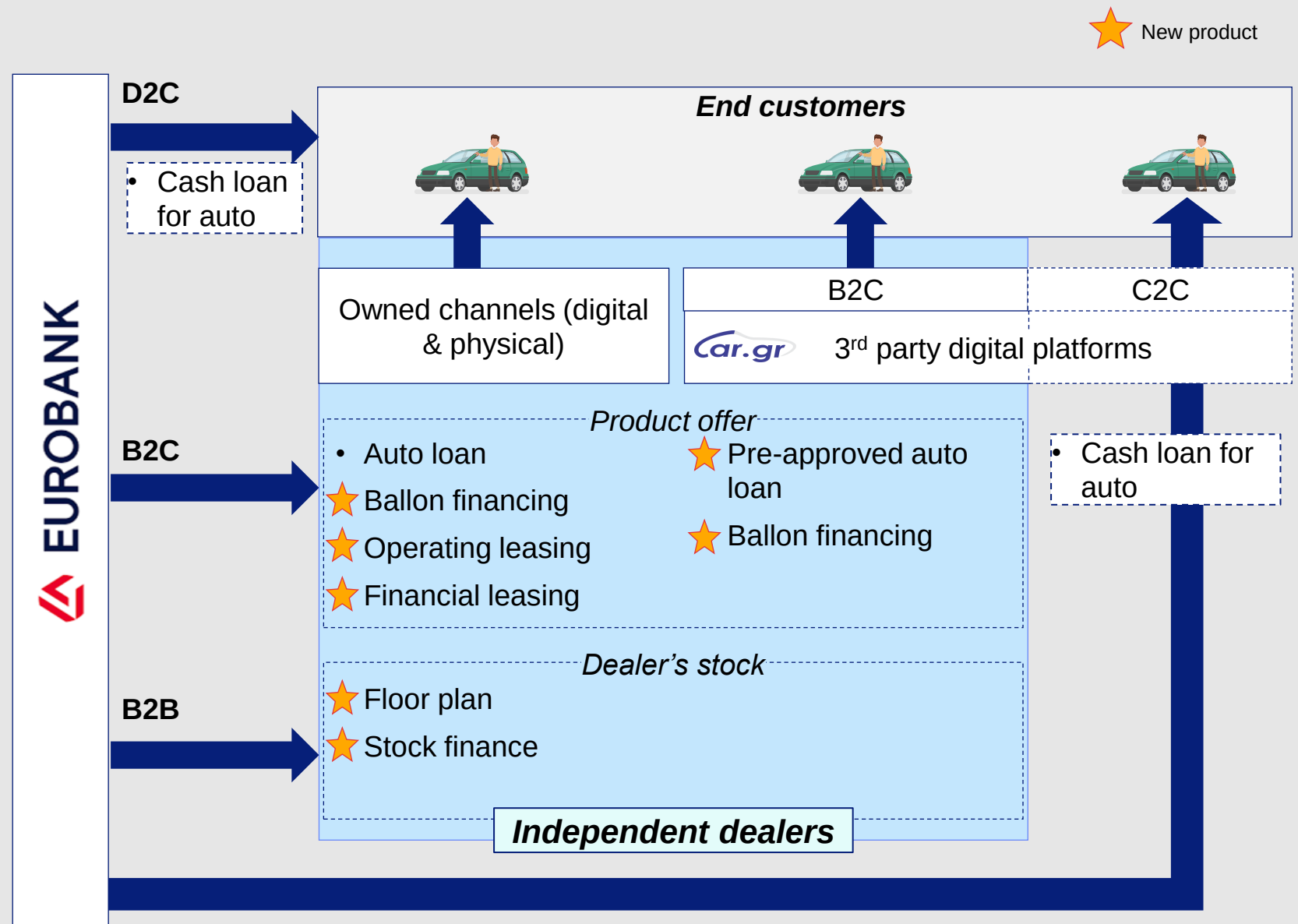
- A** Retail<sup>1</sup>: leasing is the fastest-growing segment and will account for ~30% of the total value pool (50M€ RAR)
- B** SME & corporate: operating leasing will maintain a strong foothold with 210M€ RAR expected by 2030

1. Individuals, freelancers, personal companies

## Objectives of the meeting

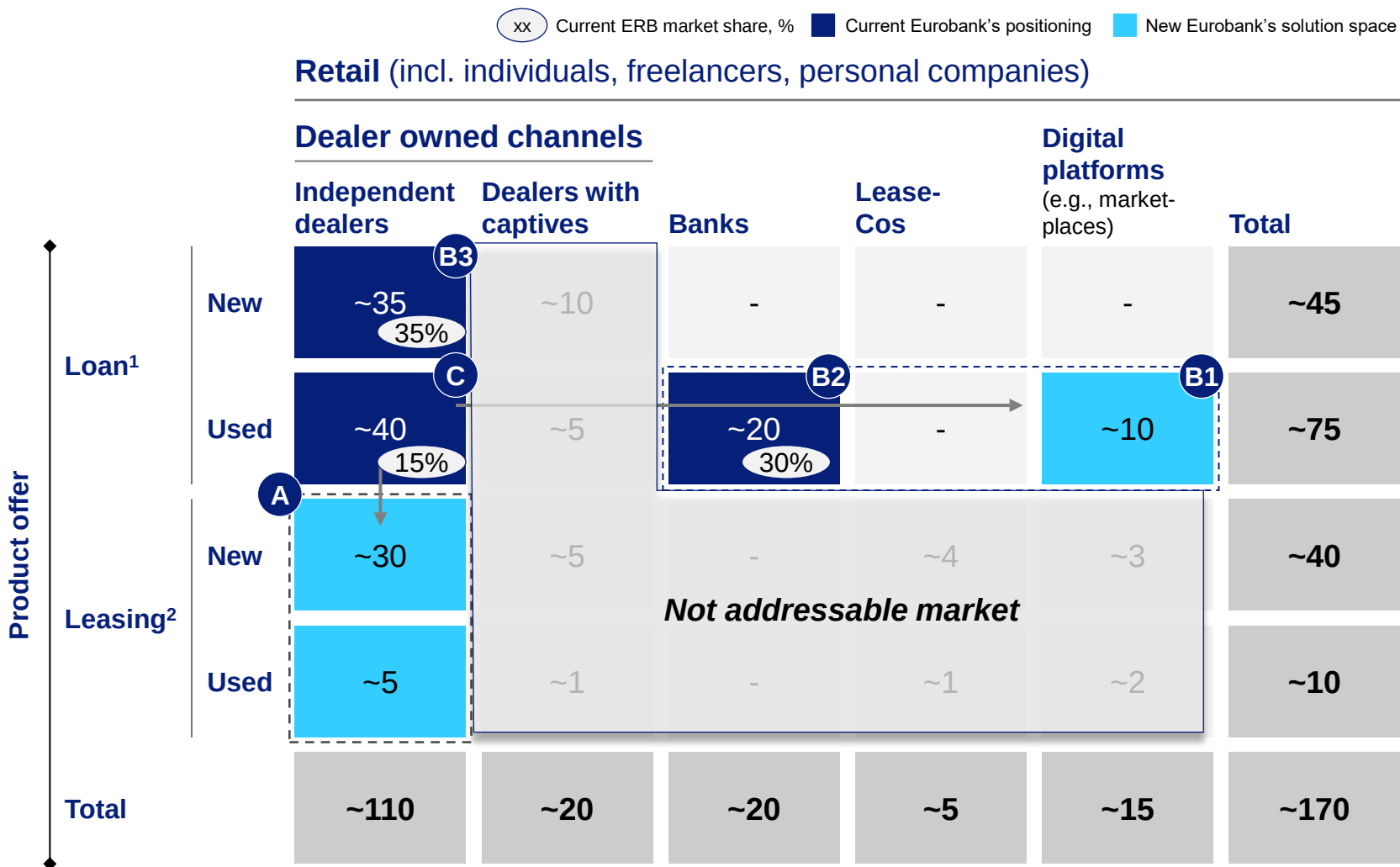
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**By 2030,  
Eurobank can  
position itself  
as the #1  
“captive” bank  
for  
independent  
dealers**



# Eurobank's retail opportunities lie in expanding new products and channels, and regaining leadership in used car auto loans

Breakdown of 2030 market revenue after risk (RAR) for retail per product and channel, M€



1. Auto loan and cash loan  
2. Financial leasing and operating leasing

Detailed next

## Value creation opportunities

**Retail opportunities**

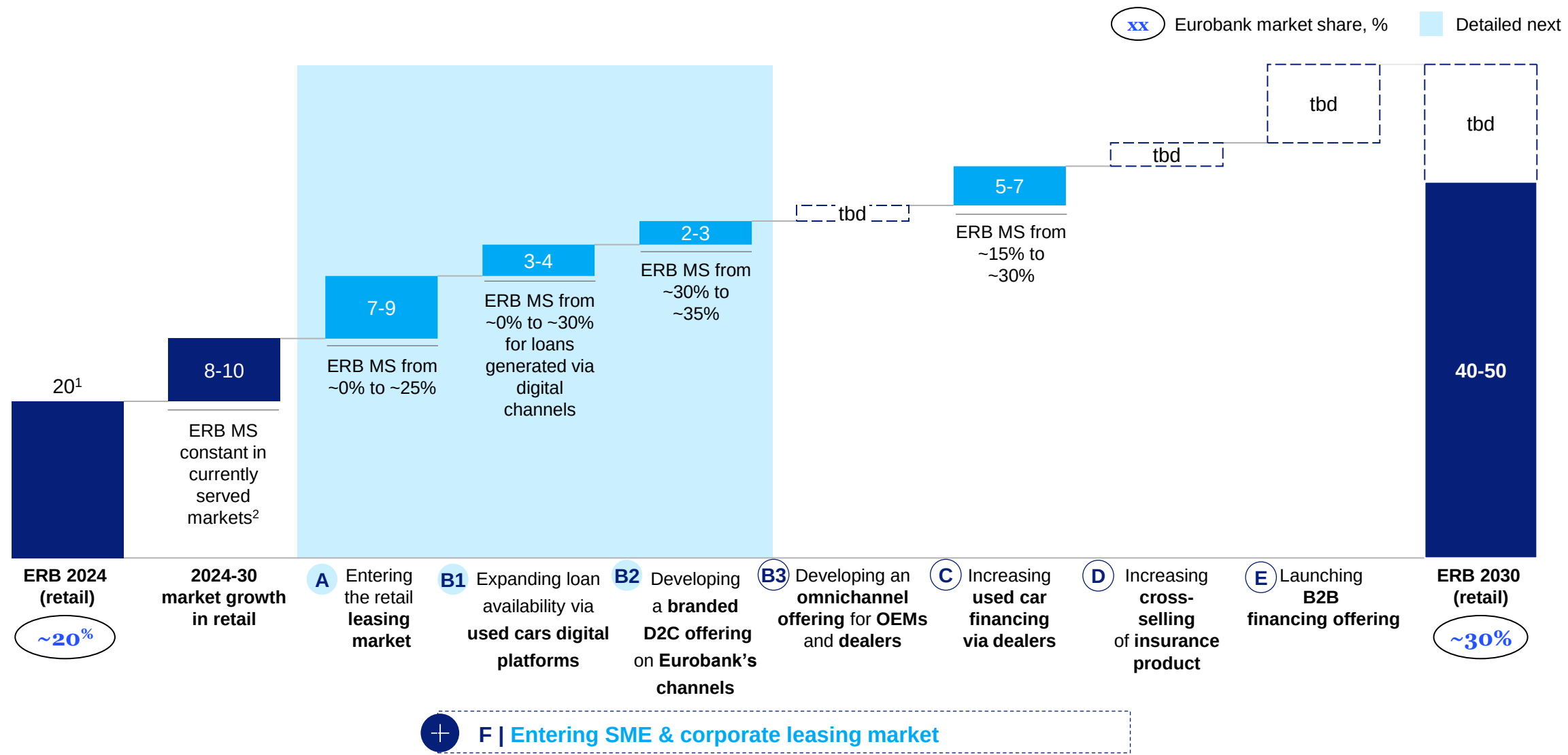
- A | Entering the retail leasing market
- B | Expanding digital presence
- C | Increasing used car financing
- D | Increasing Cross-selling of insurance product
- E | Launching B2B financing offering



**SME & corporate opportunities**

- F | Entering SME & corporate leasing market

# +20-25M€ RAR retail Value at Stake for Eurobank by 2030, with additional opportunities yet to be sized



1. Does not include moto; includes consumer loans for auto purposes  
2. Computed assuming 2024 ERB MS constant in already served market, and computed on 2030 market size: dealers' channels: (35% MS on new cars, 15% MS on used cars) and ~30% via Bank's channels

McKinsey & Company 14

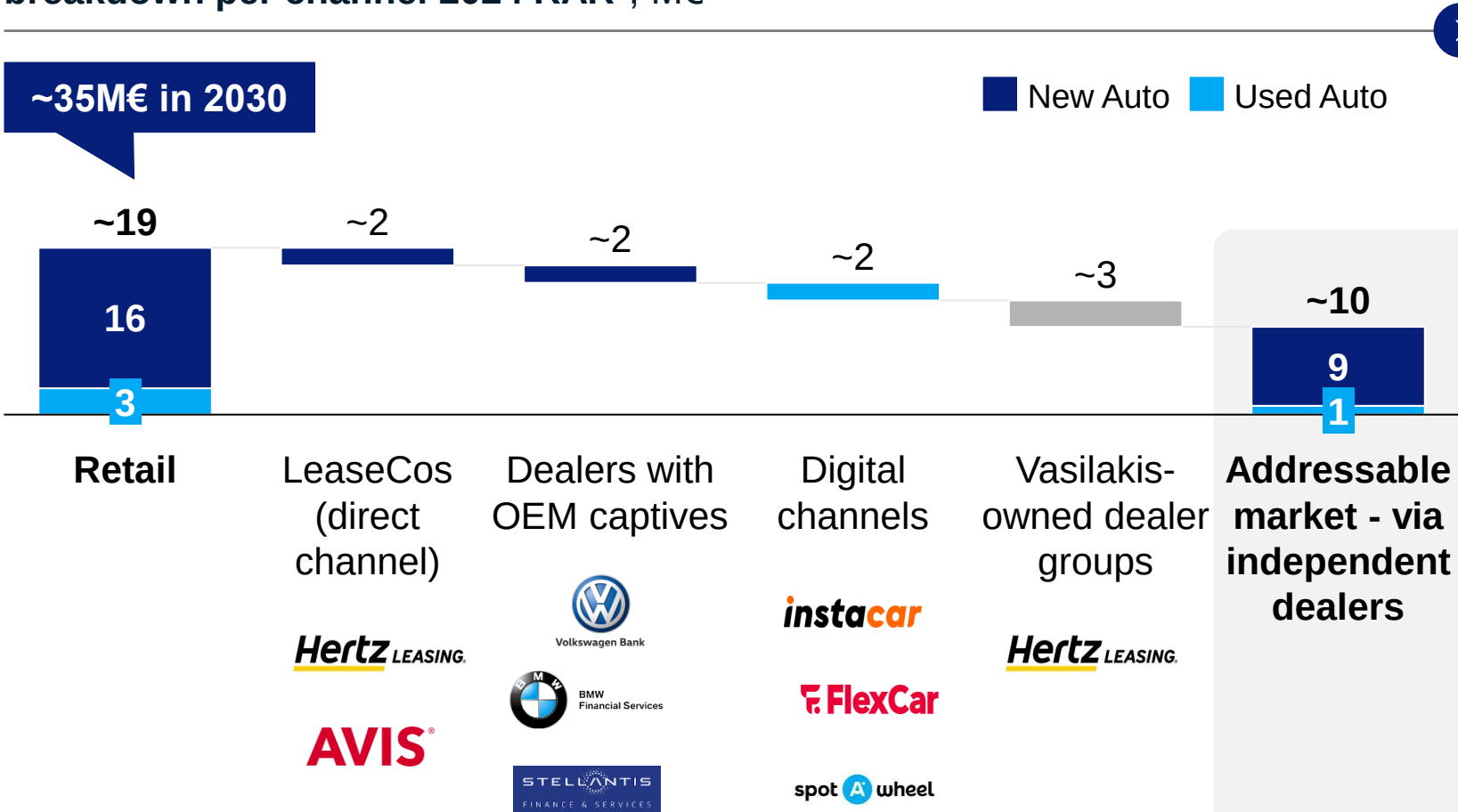
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# A | Current addressable retail leasing market generates ~10M€ RAR, and is concentrated around 2 players

xx Market share, %

Greek retail (individuals, freelancers, personal companies) leasing market breakdown per channel 2024 RAR<sup>1</sup>, M€



Main competitors in addressable market

|                                                   | Addressable market share |
|---------------------------------------------------|--------------------------|
| <b>Hertz</b> LEASING.                             | ~40% <sup>2</sup>        |
| <b>AVIS</b>                                       | ~60% <sup>3</sup>        |
| <b>Executive Lease</b>   <b>SFAKIANAKIS GROUP</b> | N/A <sup>4</sup>         |

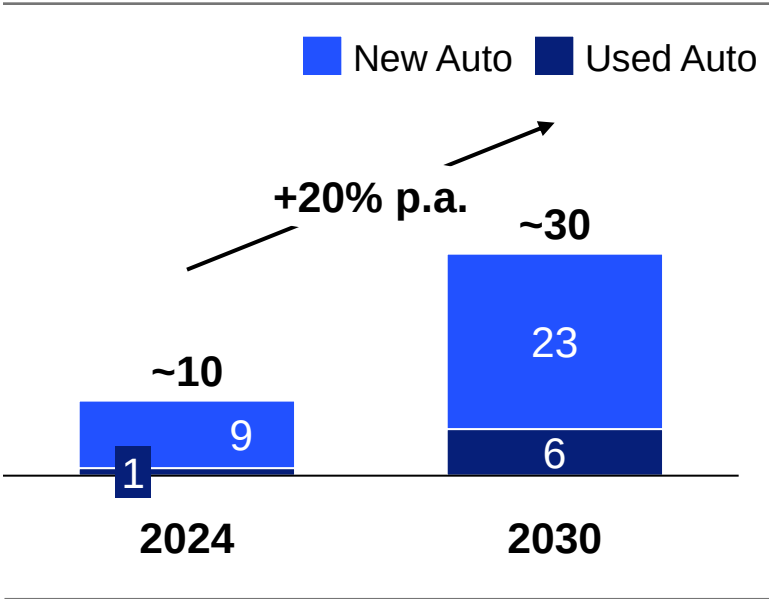
1. Revenue after risk  
2. ~37% share of total retail market translating into ~7M€ RAR, of which ~3M€ through Vasilakis group, leasing to ~4M€ in addressable market (~40%)  
3. ~35% share of total retail market translating into ~6M€ RAR in addressable market (~60%)  
4. Unofficial sources of ~8-10% market share

## **A | 2 options for Eurobank to enter the retail leasing market**

- i** Build in-house capabilities while partnering with dealer for car sourcing and services
- ii** Build a JV with Hertz or Avis

# Ai | Eurobank can enter the fast-growing retail leasing market with two complementary products for distinct segments

Greek retail<sup>1</sup> leasing addressable market 2024-2030 RAR<sup>2</sup>, M€



Potential ERB market share in 2030 **~30%**

Potential ERB value at stake in 2030 **~7-9M€<sup>3</sup>**

1. Individuals, freelancers, personal companies  
 2. Revenue after risk  
 3. Explained by lower RAR for financial leasing vs. operating leasing: ~30% upselling of services, ~20% of clients not exercising their buying option for financial leasing

Potential products for Eurobank to target this market

|                                | Key product characteristics                                                                                            | Target customer segment                                                                                          |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| <b>A Operating leasing</b><br> | <b>All-inclusive</b> monthly fee (MRT, insurance, assistance, etc.)<br><br><b>No ownership</b> – return car at the end | <b>Customers</b> wanting simplicity, <b>flexibility</b> and <b>no long-term commitment</b> (i.e., car ownership) |
| <b>B Financial leasing</b><br> | <b>Basic car-only lease</b> with <b>services</b> being optional<br><br><b>Option to own</b> the car at end of term     | <b>Ownership-driven</b> and budget-conscious customers seeking <b>long-term value</b>                            |

# Ai | To enter retail leasing, Eurobank needs to retain asset ownership and partner with dealers for services and re-marketing...

Not critical

| Activities                       | Eurobank                 |                 |                                                                                                                                                                                                                                                                                                                                              | Dealers                                               |                 |
|----------------------------------|--------------------------|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|-----------------|
|                                  | Operating lease          | Financial lease |                                                                                                                                                                                                                                                                                                                                              | Operating lease                                       | Financial lease |
| Vehicle purchase/ ownership      |                          |                 | <div>ERB enters in a <b>partnership agreement</b> with the dealer to:</div> <ul style="list-style-type: none"><li>- <b>Buy the car at a discount</b> when the customer selects the car and decides to enter a leasing contract</li><li>- <b>Leverage existing workshop network</b> of dealer to <b>support service fulfillment</b></li></ul> |                                                       |                 |
| Pricing                          |                          |                 |                                                                                                                                                                                                                                                                                                                                              |                                                       |                 |
| Customer service (driver)        |                          | N/A             |                                                                                                                                                                                                                                                                                                                                              |                                                       |                 |
| Insurance                        |                          | <i>Optional</i> |                                                                                                                                                                                                                                                                                                                                              |                                                       |                 |
| Services (incl. MRT, assistance) |                          |                 |                                                                                                                                                                                                                                                                                                                                              |                                                       | <i>Optional</i> |
| RV management                    |                          |                 |                                                                                                                                                                                                                                                                                                                                              |                                                       |                 |
| Repossession                     |                          |                 |                                                                                                                                                                                                                                                                                                                                              |                                                       |                 |
| De-fleeting (incl. inspection)   |                          |                 |                                                                                                                                                                                                                                                                                                                                              | <div>Through independent 3rd parties</div>            |                 |
| Remarketing                      | <i>Through platforms</i> |                 |                                                                                                                                                                                                                                                                                                                                              | <i>Pre-agreement with dealer for potential resale</i> |                 |

# Ai | ... and to develop critical capabilities not present in the Bank



Critical capabilities to develop



Eurobank



Dealer or independent 3<sup>rd</sup> party

## Key capabilities



## Operating lease



## Financial lease

|                                     |                                                                                                                                                                                                                            |                                                                                                                          |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Vehicle purchase/<br>ownership      | Develop <b>car procurement capabilities</b> to buy the car at a discount                                                                                                                                                   | <i>Not critical – customer buys the car and ERB finances the acquisition</i>                                             |
| Pricing                             | Build <b>technical pricing model</b> (maintenance, repairs, residual value, discount, funding) at <b>brand x model level</b>                                                                                               | Develop of a <b>simple pricing module</b> on top of existing credit pricing model (linear depreciation of the car value) |
| Customer service<br>(driver)        | Train (or dedicate) a <b>team to service drivers</b> (e.g., maintenance appointments, relief/replacement vehicles, car return)<br>Develop <b>self-service tools</b> in the <b>Eurobank app</b>                             | <i>Same as operating lease (as some customers can optionally subscribe to services)</i>                                  |
| Insurance                           | Motor<br>PPI                                                                                                                                                                                                               | Existing capabilities                                                                                                    |
| Services (incl.<br>MRT, assistance) | Develop <b>car services procurement capabilities</b><br>Dedicate (or setup) a team to steer the SLAs with the dealers                                                                                                      | <i>Same as operating lease (as some customers can optionally subscribe to services)</i>                                  |
| RV management                       | Build a <b>residual value (RV) model</b> at <b>brand x model level</b> for <b>new and used cars</b><br>Setup a <b>dedicated risk governance</b><br>Adapt the <b>risk appetite framework</b> of the bank with this new risk | Buy <b>residual value (RV) data from external quoters</b><br>Set up a <b>dedicated risk governance</b>                   |
| Repossession                        | Develop a <b>repossession process</b> to manage contract defaults, incl. <b>recovery, inspection</b>                                                                                                                       | <i>Same as operating lease</i>                                                                                           |
| De-fleeting (incl.<br>inspection)   | Buy a <b>workflow tool</b> to manage the <b>de-fleeting process</b> (e.g., car return)                                                                                                                                     | N/A                                                                                                                      |
| Remarketing                         | Buy a <b>remarketing tool</b><br>Setup a <b>remarketing channel strategy</b> (which car on which channel)                                                                                                                  | N/A                                                                                                                      |

# B1 | In Greece Car.gr dominates the used auto loan market, while leasing is provided by specialized digital platforms/ LeaseCos

Preliminary

Main auto financing offer

Top car digital platforms in Greece

June 2025, k # car listings<sup>1</sup>

CF partners

Leasing partners

|         |                                                                                     |                                                                                                      |                                                                                                                                                                                                                                                                                                               |                                                                                                        |
|---------|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| Loan    |    |  ~130 <sup>2</sup> |  ALPHA BANK<br> tbi bank  Santander Consumer Finance |  spot A wheel       |
|         |    |  0.3                |  NATIONAL BANK OF GREECE                                                                                                                                                                                                   |                                                                                                        |
| Leasing |    |  2 <sup>3</sup>     | n/a                                                                                                                                                                                                                                                                                                           |  FlexCar LeaseCo    |
|         |   |  1                 | n/a                                                                                                                                                                                                                                                                                                           |  spot A wheel      |
|         |  |  1                |  Santander Consumer Finance                                                                                                                                                                                              |  instacar LeaseCo |

Digital channel for ERB financing (detailed next)

Car.gr is the leading marketplace for auto, listing all the used car market and providing auto finance options on all car listings

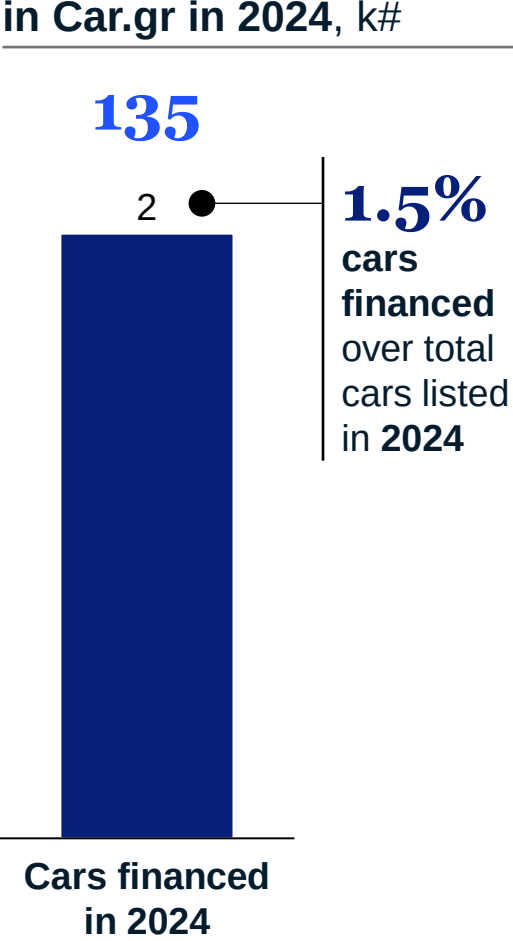
Leasing is currently provided by LeaseCos on their own digital platforms and cars

1. Based on information provided by marketplaces' websites  
 2. The reported number of publicly disclosed listings includes outdated entries, duplications, and stock from other markets, and therefore does not represent a net figure  
 3. Computed against their 12k vehicle fleet, considering an average listing rotation of 6 months

# B1| Existing financing offering on digital platforms is constrained, with low financing rates: Example of Car.gr

Market of cars financed in Car.gr in 2024, k#

XX Total car listings, k#



## Overview of auto financing options on Car.gr

| Financing partner                                                                                            | Product   | Target customers                 | Channel                                                   | Terms                                                                                                           | Financing customer journey                                     | Overall breadth of the offer                                       |
|--------------------------------------------------------------------------------------------------------------|-----------|----------------------------------|-----------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|--------------------------------------------------------------------|
|  ALPHA BANK                 | Cash loan | <b>Alpha Bank customers only</b> | <b>C2C and B2C only non-partnered dealers</b>             | <ul style="list-style-type: none"><li>Up to <b>5 k€</b></li><li>Interest rate: <b>13%<sup>1</sup></b></li></ul> | E2E digital                                                    | <b>Limited</b> to a restricted set of clients and channels         |
|  Santander Consumer Finance | Auto loan | <b>All customers</b>             | <b>B2C only partnered dealers</b>                         | <ul style="list-style-type: none"><li>Up to <b>150 k€</b></li><li>Interest rate: <b>12.5%</b></li></ul>         | Digital application, loan signing and disbursement at dealers' | <b>Medium</b> , restricted to partner dealers                      |
|  tbi bank                 | Cash loan | <b>All customers</b>             | <b>C2C and B2C only non-partnered dealers<sup>2</sup></b> | <ul style="list-style-type: none"><li>Up to <b>15 k€</b></li><li>Interest rate: <b>16%</b></li></ul>            | E2E digital                                                    | <b>Extensive coverage</b> , but less attractive pricing conditions |

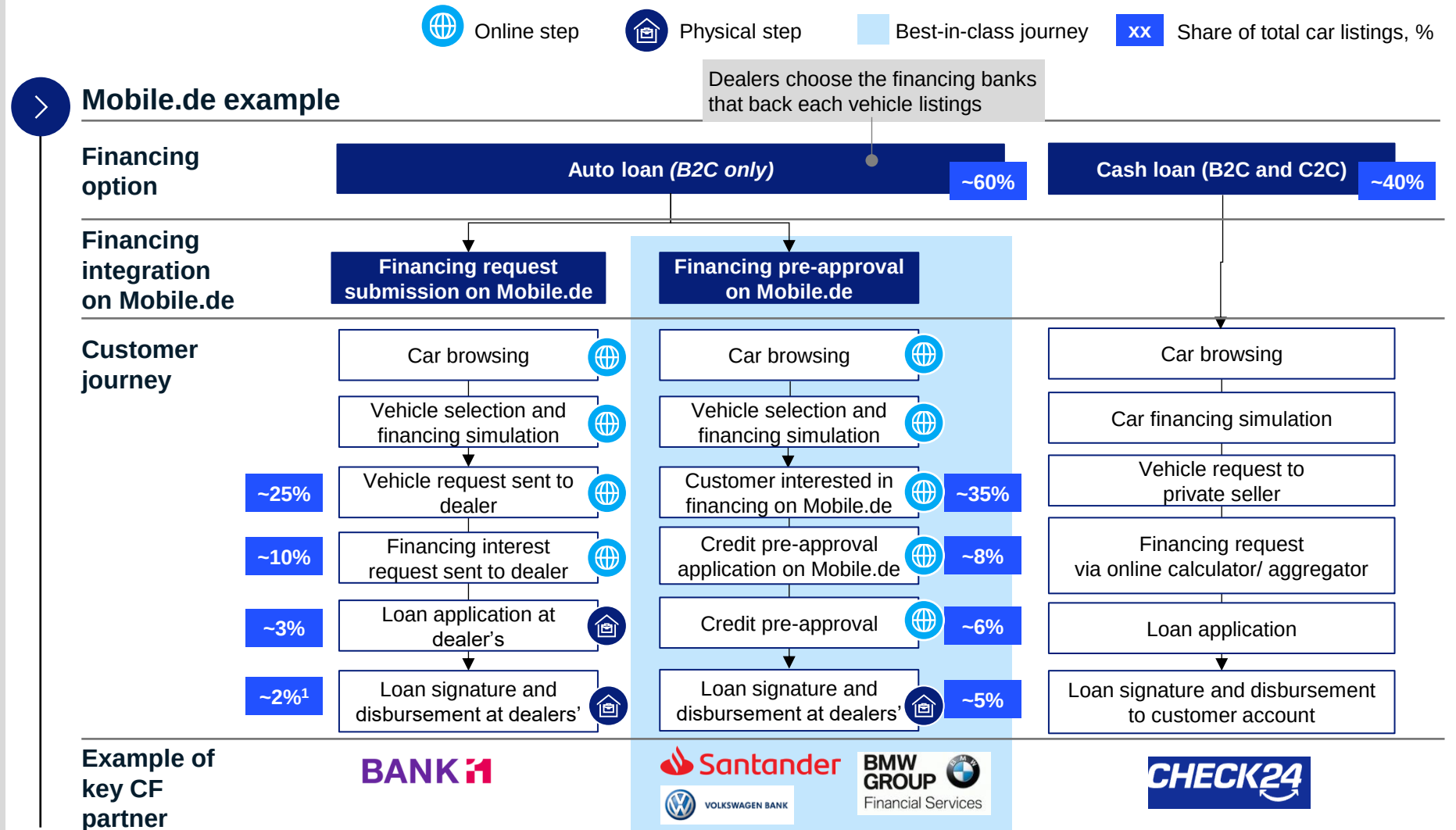
1. Borrowers who receive their salary or pension into an Alpha Bank account benefit from a discounted rate of 11%  
2. Coverage in B2C significantly higher than Alpha Bank, as TBI Bank has less establish relationships with dealers than Alpha Bank

# B1 | Example from European market: Mobile.de



## Context

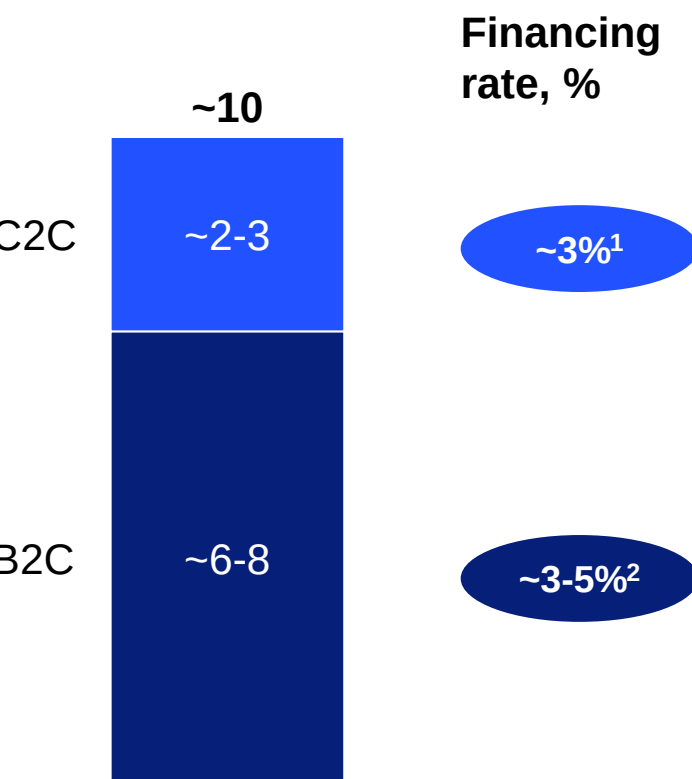
- Germany's largest online automotive marketplace, established in 1996
- Hosts over **1.4 M car listings**, with **~80%** sourced from dealers
- Loan offering** includes **auto loans** in collaboration with **dealers' partner banks** and **cash loans** via the **online comparison platform Check24**



1. Assuming an approval rate of 60%

# B1 | Eurobank can capture an opportunity of 3-4M€, by developing a competitive car loan offering on digital platforms

2030 online used auto market by listing channel, RAR<sup>3</sup> M€



2030 market

1. Assuming financing rate on the digital platform will double from current 1.5% to 3%, thanks to increased product penetration (e.g., current C2C offering is only on Alpha Bank customers and TBI Bank terms are not as competitive as those of systemic banks)  
 2. Based on Mobile.de example  
 3. Revenue after risk

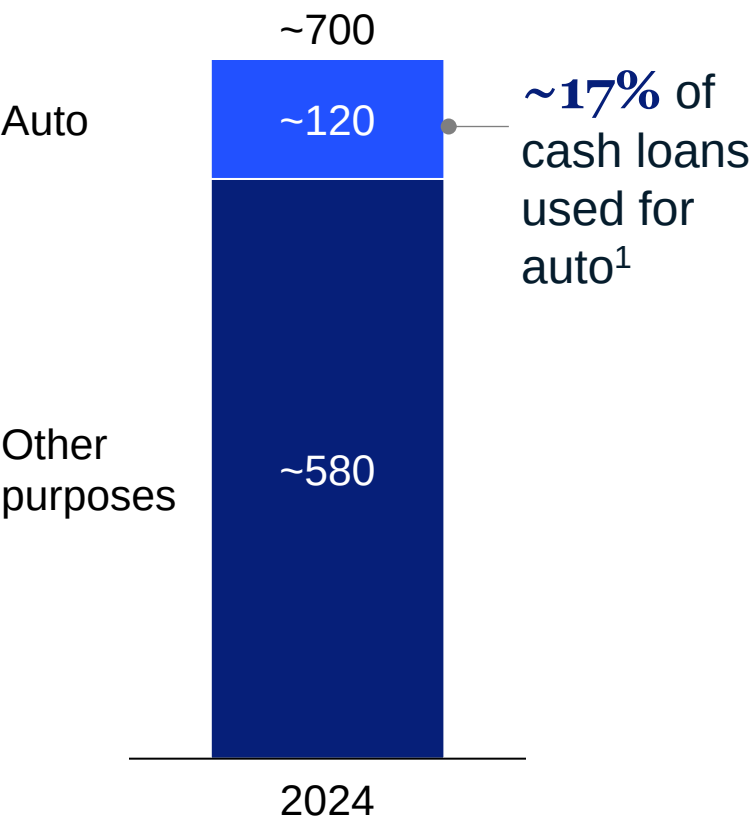
XX Detailed next    XX ERB RAR<sup>3</sup>, M€

Potential initiatives for Eurobank to target this market

| Channel                      | Product                                   | Digital platform | ERB MS, %       |
|------------------------------|-------------------------------------------|------------------|-----------------|
| C2C<br>(individual listings) | 1 Car cash loan                           | Car.gr           | 30-35%<br>~1M€  |
| B2C<br>(dealers' listings)   | 2 Auto loan with conditional pre-approval | Car.gr<br>CARDOM | 30-40%<br>2-3M€ |

# B2 | In Greece 17% of consumers use cash loan for auto purposes, as a Bank's branded auto loan offering is limited

Non-exhaustive  
Consumer cash loan market,  
loan disbursements, M€



1. From ERB 2024 customer survey

|                                               |                         | Patial D2C branded (cash) loan for auto | D2C branded car (cash) loan for auto                 |
|-----------------------------------------------|-------------------------|-----------------------------------------|------------------------------------------------------|
|                                               |                         | ⊗                                       | ✓                                                    |
| Market of branded D2C loan financing for auto |                         |                                         |                                                      |
|                                               |                         | Greece                                  | Europe                                               |
| Systemic banks                                | NATIONAL BANK OF GREECE | ⊗                                       | Germany: Postbank ✓<br>TARGOBANK ✓<br>ING ✓          |
|                                               | Piraeus                 | ⊗ EV car loan                           | France: LA BANQUE POSTALE ✓<br>CA ✓<br>BNP PARIBAS ✓ |
|                                               | EUROBANK                | ⊗                                       | Spain: BBVA ✓<br>CaixaBank ✓                         |
|                                               | ALPHA BANK              | ⊗ EV car loan                           | Germany: Santander ✓<br>BANK 1 ✓                     |
| Specialized auto finance players              | VOLKSWAGEN BANK         | ⊗                                       | France: N/A ⊗                                        |
|                                               | BMW Financial Services  | ⊗                                       | Spain: Santander ✓<br>Ibancal ✓                      |
|                                               | AUTO BANK               | ⊗                                       |                                                      |
|                                               | Santander               | ✓                                       |                                                      |

# B2 | Three alternatives for Eurobank to offer branded D2C loan for auto and capture a larger share of the consumer loan market

Not exhaustive

Preliminary

Preferred options

Customer steps

Bank steps

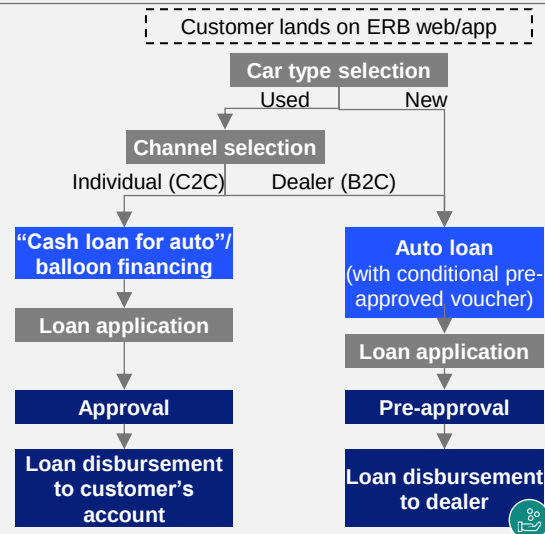
Recommended product

Dealer remuneration

## Options

- 1 Offer two distinct products per i) car type and ii) channel of car purchase:
- Used auto for C2C transactions: "Cash loan for auto"/ balloon financing
  - New or used auto via dealers (B2C): auto loan with conditional pre-approved voucher

## Customer journey



## Dealer remuneration

- Dealers receive remuneration on new auto and used auto sold via B2C

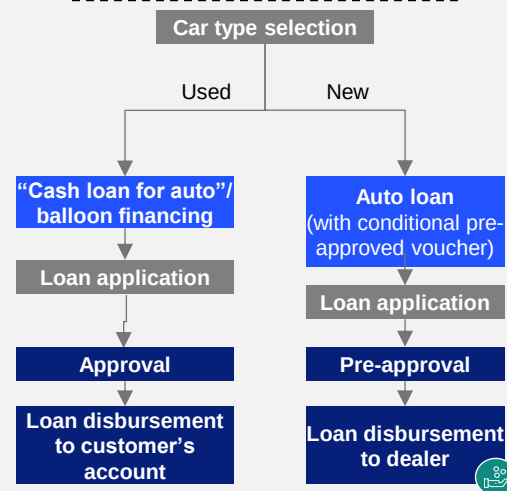
## Pros/ Cons

- Minimal or no cannibalization of dealers' auto financing business
- Lower margin for Eurobank vs. other options
- Lack of awareness around first two required steps can prevent Eurobank's customers from moving forward with loan application

## Example of key players<sup>1</sup>

- 2 Offer two distinct products per car type:
- Used auto: "Cash loan for auto"/ balloon financing
  - New auto: auto loan with conditional pre-approved voucher

Customer lands on ERB web/app

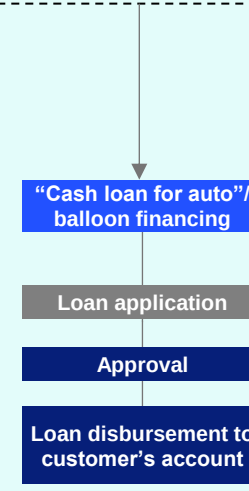


- Dealer remunerated on new auto only

- Only 1 step for Eurobank customers before loan application
- Potential for Eurobank on to capture additional margin on used auto loans
- Potential cannibalization of dealers' commissions on used auto loans

- 3 Offer one product:
- All car types and channels: "Cash loan for auto"/ balloon financing

Customer lands on ERB web/app



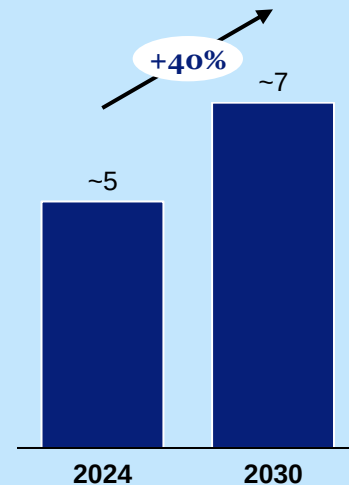
- No remuneration to dealers

- Eurobank customers complete directly loan application, without prior steps
- Potentially higher margin capture for Eurobank through the D2C offering (e.g., both used and new car cash loan)
- Potential cannibalization of part of dealers' commissions on used and new auto loans, with risk of reactions



## Eurobank potential in branded D2C car cash loans market, RAR M€

xx ERB MS in D2C car cash loan market, %



~30% (2024) and ~35% (2030)

A branded D2C car cash loan will allow Eurobank to unlock new value in the auto financing space, expanding loan penetration to gradually align with G5 countries

## Objectives of the meeting

- **Review current and projected market sizing** for auto finance and **Eurobank positioning**
- Align on Eurobank **target strategic positioning** (“where to play”) and **growth potential**
- Discuss preliminary **strategic directions on key initiatives** (“how to win”)
- Align on **next steps**

## Next steps

- **Finalize value-at-stake definition** for remaining **value creation opportunities** (i.e., B2B financing offer, cross-selling of insurance products, entering the SME & corporate leasing segment)
- **Develop a comprehensive go-to-market strategy** for **how to win** in prioritized initiatives, detailing key enablers to achieve full potential
- **Develop detailed business cases for each value creation opportunity**, including top line, costs (e.g., operational, risk) and investments

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# Sources of insights



ERB



McKinsey



External / Other

## ERB CxO interviews

- Interview with I. Serafimidis
- Interview with S. Rentetacos (scheduled on June 19<sup>th</sup>)
- Interview with C. Psaltis

## ERB business stakeholders and FP&A interviews

- **Individual banking:** E. Pantazi, V. Pouloupatis, V. Tzavella, C. Feloukas
- **Retail external and alternative channels:** A. Karakerezis, C. Chronopoulos, E. Lyris
- **Credit policy – Retail:** S. Marakis
- **FP&A – Retail:** A. Spatharis, E. Skaltsa
- **Transformation office:** A. Tsolis, K. Vogiatzis, M. Zakyntinou, V. Katsimardou, V. Tafroglou, M. Velegrakis

## ERB internal data (non-exhaustive)

- Auto loan P&L, incl. cost of fund and cost of risk (2024)
- Historical market shares for the past 3 years (2024)
- Average interest rates and car loan amounts (2024)
- Key performance KPIs (e.g., default rates)
- List of auto loan dealers (2024)
- Segmentation of customers by type and product type
- Auto loan digital journey (2025)
- Auto pricing and commission policy (2025)
- Auto Lending Operationalization Strategy (2024)
- Digital Auto Loan Eurobank – Cardom (2025)
- Used car market – Competition mapping (2024)
- Eurobank Leasing P&L and exposures (2024)
- Retail fleet sales competition (2024)

## McKinsey expert interviews

- Interview with McKinsey expert in European auto finance
- Interview with McKinsey expert in retail operating leasing and financial leasing
- Interview with McKinsey expert in digital channels

## McKinsey internal data and research

- Internal McKinsey model to estimate G5 financing penetration rate for retail passenger cars
- Car finance digital benchmark of marketplaces in Germany
- G5 retail auto finance benchmarking of key product features

## External expert interviews (e.g., GLG, AlphaSights)

- Former partnership channel executive at a LeaseCo in Greece (AlphaSights)
- Former project manager at various OEMs in Greece and consultant at an OEM captive in Greece (GLG)
- Former head of partnership management for digital retail at a German digital marketplace (GLG)

## Press search (e.g., market reports)

- IOBE report on Greek operating leasing market (2024)
- AGLC report on Greek financial leasing market (2024)
- NECP report on Greek car sales growth in (2024)
- ACEA report on Greek car fleet's average age (2024)
- Arval mobility authority report (2024)
- IMF report on Greek inflation rate projections (2025)

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# Product definitions & examples: Retail auto finance product mix

| Characteristics                       | Retail product offering                          |                                                              |                                                              |                                                   |
|---------------------------------------|--------------------------------------------------|--------------------------------------------------------------|--------------------------------------------------------------|---------------------------------------------------|
|                                       | <b>A</b> Auto loan                               | <b>B</b> Balloon financing                                   | <b>C</b> Financial lease                                     | <b>D</b> Operating lease                          |
| <b>Time horizon</b>                   | <b>5 years</b> (60 months)                       | <b>4 years</b> (48 months)                                   | <b>3 years</b> (36 months)                                   | <b>3 years</b> (36 months)                        |
| <b>Ownership</b>                      | ✓ Ownership                                      | ✓ Ownership                                                  | ✓ Option to buy the car at the end of the lease              | ✗ No ownership                                    |
| <b>Car registration</b>               | End consumer                                     | End consumer                                                 | End consumer                                                 | LeaseCo                                           |
| <b>Common services</b>                | No services included; insurance upselling        | No services included; insurance upselling                    | No services included; services upselling                     | Varying degree of services (e.g., insurance, MRT) |
| <b>Monthly installments/ payments</b> | Same monthly installment across the whole period | Higher monthly installments at the beginning of the contract | Higher monthly installments at the beginning of the contract | Same monthly payment across the whole period      |
| <b>Final payment</b>                  | n/a                                              | ~ <b>30%</b> of the car value                                | ~ <b>50%</b> of the car value                                | n/a                                               |
| <b>Risk for product provider</b>      | Credit risk                                      | Credit risk                                                  | Direct asset risk                                            | Direct asset risk                                 |
| <b>Main addressable market</b>        | New Auto<br>Used Auto                            | Used Auto                                                    | New Auto                                                     | New Auto                                          |



# Product definitions & examples: France real-life example

Used Peugeot 3008 Hybrid 136 e-DCS6 GT (~26,980€), 48-month contract, 15,000km annual mileage



|                                                      |                          | Retail product offering                    |                                            |                                             |                                            |                     |
|------------------------------------------------------|--------------------------|--------------------------------------------|--------------------------------------------|---------------------------------------------|--------------------------------------------|---------------------|
| Characteristics                                      |                          | <b>A</b> Auto loan                         | <b>B</b> Balloon financing                 | <b>C</b> Financial lease                    | <b>D</b> Operating lease                   |                     |
| Monthly payment                                      |                          | ~ <b>530€</b> per month                    | ~ <b>489€</b> per month                    | ~ <b>201€</b> per month                     | ~ <b>360€</b> per month                    |                     |
| First payment                                        |                          | ~ <b>5,396€</b><br>(~ <b>20%</b> of price) | -                                          | ~ <b>8,097€</b><br>(~ <b>30%</b> of price)  | ~ <b>5,500€</b><br>(~ <b>20%</b> of price) |                     |
| Terminal payment                                     |                          | -                                          | ~ <b>8,150€</b><br>(~ <b>30%</b> of price) | ~ <b>14,839€</b><br>(~ <b>55%</b> of price) | -                                          |                     |
| Sum of all payments                                  |                          | ~ <b>30,836€</b>                           | ~ <b>31,622€</b>                           | ~ <b>32,584€</b>                            | ~ <b>22,780€</b>                           |                     |
|                                                      |                          |                                            |                                            |                                             |                                            | <b>No ownership</b> |
| Additional options <sup>1</sup> (total monthly rent) | Extended warranty        | + <b>27€</b> per month                     | + <b>27€</b> per month                     | + <b>27€</b> per month                      |                                            | <b>included</b>     |
|                                                      | Maintenance <sup>2</sup> | + <b>60€</b> per month                     | + <b>60€</b> per month                     | + <b>60€</b> per month                      |                                            | <b>included</b>     |
|                                                      | Credit insurance         | + <b>20€</b> per month                     | + <b>20€</b> per month                     | + <b>20€</b> per month                      |                                            | <b>included</b>     |
| Total with all options                               |                          | ~ <b>610€</b> per month                    | ~ <b>569€</b> per month                    | ~ <b>253€</b> per month                     | ~ <b>360€</b> per month                    |                     |

1. Delta vs. monthly rent ; 2. Includes extended warranty ; 3. "Location avec option d'achat" ; 4. "Location longue durée"

Source: Auto loan and financial lease: <https://www.spoticar.fr/voitures-occasion/peugeot-3008-hybrid-136-e-dcs6-gt-loire-atlantique-reze-1203554622#characteristics-panel-heading> Balloon financing: <https://www.auto-empire.de/fr/service/calculateur-de-pre/et/, operating lease: https://www.peugeot.fr/offres/nouveau-3008.html>



# Product definitions & examples: Germany real-life example

New Volkswagen Golf R-Line 1.5 TSI OPF (~35,505€), 48-month contract, 15,000km annual mileage



|                                                      |                   | Retail product offering    |                             | Finanzierungsleasing                     | Kilometerleasing                        |
|------------------------------------------------------|-------------------|----------------------------|-----------------------------|------------------------------------------|-----------------------------------------|
| Characteristics                                      |                   | A Auto loan                | B Balloon financing         | C Financial lease                        | D Operating lease                       |
| Monthly payment                                      |                   | ~715€ per month            | ~513€ per month             | ~152€ per month                          | ~255€ per month                         |
| First payment                                        |                   | ~5,000€<br>(~15% of price) | -                           | ~11,528€ <sup>2</sup><br>(~30% of price) | ~7,978€ <sup>2</sup><br>(~20% of price) |
| Terminal payment                                     |                   | -                          | ~17,176€<br>(~48% of price) | ~18,080€<br>(~50% of price)              | -                                       |
| Sum of all payments                                  |                   | ~39,320€                   | ~41,800€                    | ~36,904€                                 | ~20,218€<br><b>No ownership</b>         |
| Additional options <sup>1</sup> (total monthly rent) | Extended warranty | n/a                        | n/a                         | n/a                                      | included                                |
|                                                      | Maintenance       | +49€ per month             | +62€ per month              | +62€ per month                           | included                                |
|                                                      | Credit insurance  | n/a                        | n/a                         | +31€ per month                           | included                                |
| Total with all options                               |                   | ~764€ per month            | ~575€ per month             | ~245€ per month                          | ~255€ per month                         |

1. Delta vs. monthly rent ; 2. Included 878€ of one-off transfer costs (factory pickup package)

# Channel definitions: Retail auto finance channel

Non-exhaustive

|                                                                        | Retail (individuals, freelancers, personal companies)                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                        | Dealer branches                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                 | OEMs                                                                                                                                                                                                                                                             | Banks                                                                                                                                                                                                                                                                                                                                                                                                                                        | Lease-Cos                                                                                                                                                                   | Digital platforms                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Definition                                                             | Independent dealers                                                                                                                                                                                                                                                                                                                                                                                                               | Dealers with captives                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                                                        | Unaffiliated car sellers offering third-party financing options                                                                                                                                                                                                                                                                                                                                                                   | Franchised dealers using manufacturer-owned financing arms                                                                                                                                                                                                      | Automakers providing direct or captive-based vehicle financing                                                                                                                                                                                                   | Systemic banks issuing cash loans to consumers on their channels                                                                                                                                                                                                                                                                                                                                                                             | Companies specializing / present in auto leasing segment (mainly operating lease)                                                                                           | Online platforms enabling direct auto financing and loan applications (incl. marketplaces, aggregators)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Player examples providing financing on these channels (non-exhaustive) |      |    |    |      |   | <div>Provide financing on third-party platforms</div>    <div>Provide financing on their own platform</div>     |

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# Market sizing: Revenue after risk (RAR) definition & 2024 values

|                                |                                   | Eurobank figures |           |           |           | Industry player figures |           |                                                                  |                                                                           |           |
|--------------------------------|-----------------------------------|------------------|-----------|-----------|-----------|-------------------------|-----------|------------------------------------------------------------------|---------------------------------------------------------------------------|-----------|
|                                |                                   | Auto loan        |           | Cash loan |           | Financial lease         |           | Financial lease margin vs. operating lease                       | Operating lease                                                           |           |
|                                |                                   | New Auto         | Used Auto | New Auto  | Used Auto | New Auto                | Used Auto |                                                                  | New Auto                                                                  | Used Auto |
| Contract specific features     | Average loan amount               | 15,000€          | 9,500€    |           | 5,000€    |                         |           | Financial lease margin vs. operating lease                       |                                                                           |           |
|                                | Average rate                      | 7.8%             | 11.7%     |           | 11.7%     |                         |           |                                                                  |                                                                           |           |
|                                | Average cost of fund              | 3.9%             | 4.0%      |           | 4.0%      |                         |           |                                                                  |                                                                           |           |
|                                | Average cost of risk <sup>1</sup> | 8obps            | 9obps     |           | 9obps     |                         |           |                                                                  |                                                                           |           |
|                                | Average contract duration         | 4.5 years        |           |           | 4.5 years |                         |           |                                                                  |                                                                           |           |
| Financing/ leasing RAR per car |                                   | ~220€            | ~300€     |           | ~160€     | ~375€                   | ~200€     | Same financing/ leasing RAR per car                              | ~375€                                                                     | ~200€     |
| Services RAR per car           |                                   | -                | -         |           | -         | ~110€                   | ~60€      |                                                                  | ~375€                                                                     | ~200€     |
| UCS <sup>3</sup> RAR per car   |                                   | -                | -         |           | -         | ~50€                    | ~30€      |                                                                  | ~250€                                                                     | ~150€     |
| Total RAR per car per year     |                                   | ~220€            | ~300€     |           | ~160€     | ~535€                   | ~290€     | ~30% of contracts upsold with services unlocking services margin | ~1,000€                                                                   | ~550€     |
| Total RAR per contract         |                                   | ~980€            | ~1,360€   |           | ~720€     | ~1,870€                 | ~1,015€   |                                                                  | ~20% of customers not exercising their buying option unlocking UCS margin | ~3,500€   |

- = Avg. loan amount
- × (Avg. ROA − Avg. cost of fund − Avg. cost of risk)
- × Average contract duration ÷ 2

Assuming loan linear depreciation

- = (Avg. financing/ leasing margin + Avg. services margin + UCS margin − Avg. cost of risk)
- × Avg. contract duration

# Market sizing: Objectives and approach for 2024

Assess the market potential for each value creation opportunity/cell to estimate Eurobank value-at-stake and prioritize initiatives

## Approach

- **Conduct a market scan using publicly available data and industry reports** (e.g., Greek Leasing Association, IOBE) to establish the initial fact base
- **Bridge gaps in missing data** through:
  - **Interviews with Eurobank key stakeholders** (e.g., external sales network, IB segment);
  - **External expert interviews** (e.g., McKinsey network, AlphaSights) – *Ongoing activity*
- **Validate revenue potential through sanity checks** using annual reports from banks and leasing companies, as well as Eurobank's known market share

Market sizing from end consumer standpoint

## Output

- 2024 car sold by segment** (i.e., retail, SME & corporate) and **car type** (i.e., new vs. used)
- 2024 car market value financed** per segment and car type, with **split across financing products** (e.g., auto loan, operating lease) and **channels**
- 2024 RAR<sup>1</sup> pool per value creation opportunity**, with split by financing product, car type, customer segment and channel
- 2030 market size and RAR<sup>1</sup> pool per value creation opportunity**, with split by financing product, car type, customer segment and channel – *Detailed in 2<sup>nd</sup> chapter*

# Market sizing: Approach and key assumptions for 2030

## Approach

Assess the **2030 auto finance market potential in Greece** in terms of **car volumes**, **financing disbursements**, and **revenue at risk (RAR)**

Segment the market by:

- **Segment** (Retail vs. SME & corporate)
- **Car type** (New vs. Used)
- **Financing product** (Loan vs. Leasing)
- **Channel** (Dealer vs. Direct)

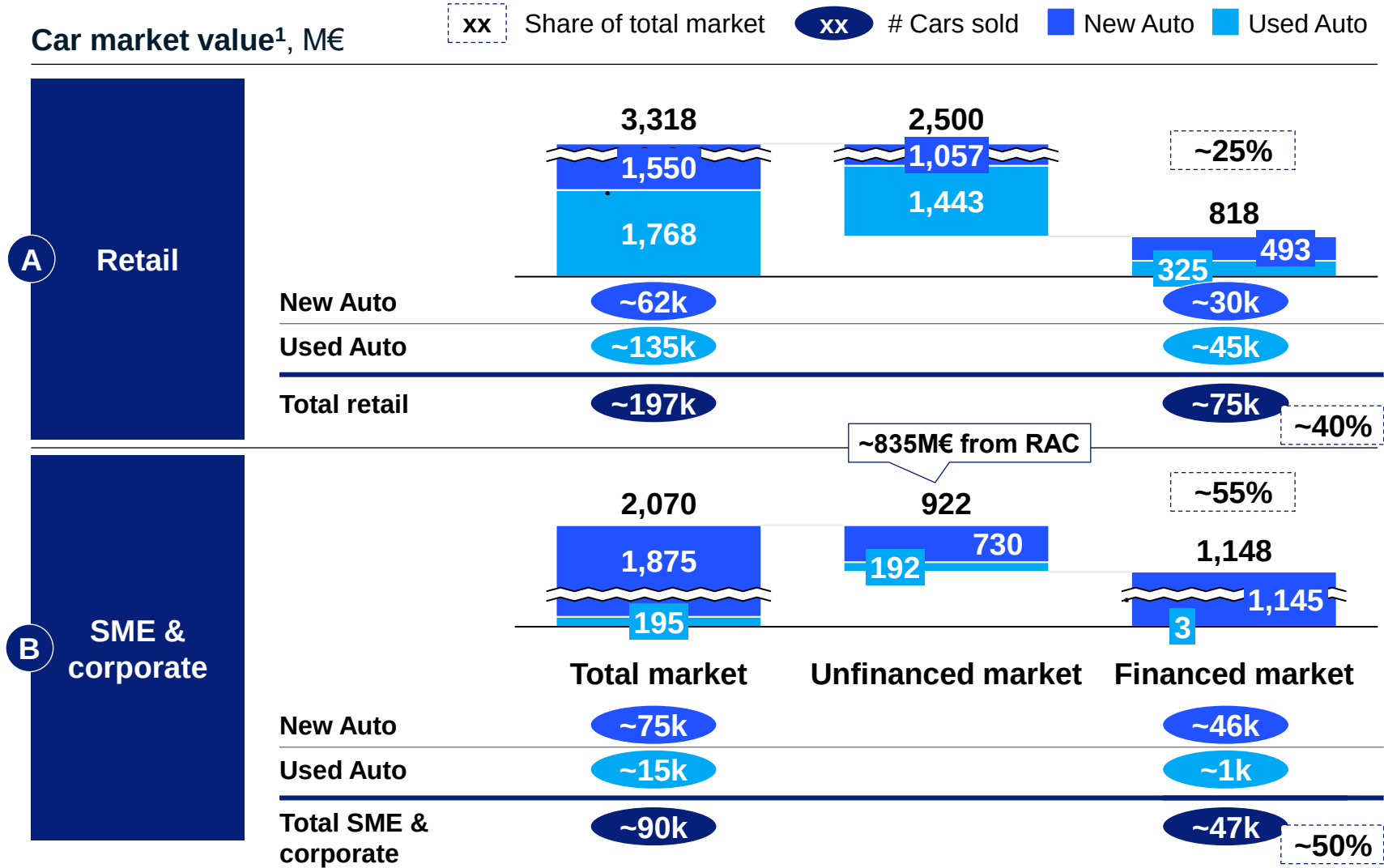
Incorporate **key trends** leveraging **local market trends** and **learnings from other European markets**

| Key trends for 2030 market assessment |                                                                                                                                                                                              | Assumption                                                                        | Approach / Source                                             |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|---------------------------------------------------------------|
| i <b>Car sales market</b>             | Overall market sales growth driven by electrification, digitalization and favourable market conditions                                                                                       | From <b>~137k</b> new cars to <b>~165k</b> new cars ( <b>~3%</b> CAGR)            | Conservative growth vs. NECP base scenario of 5% for New Auto |
|                                       | Further shift on used cars that will continue to dominate car sold market                                                                                                                    | From <b>~150k</b> used cars to <b>~200k</b> used cars ( <b>~5%</b> CAGR)          | Aligned with NECP base scenario of 5% for New Auto            |
|                                       | Annual inflation rate for car value aligned with national GDP growth                                                                                                                         | <b>~2.0%</b> inflation rate p.a. on car value                                     | Aligned with IMF 2025 estimation for 2025-2030                |
| ii <b>Financing penetration</b>       | Increase on overall financing penetration to gradually align with G5 countries driven by rising car prices, economic normalization, digital access to credit                                 | From <b>~25%</b> financing penetration in retail segment to <b>~30%</b>           | Assumed considering laggard G5 (Spain) financing penetration  |
| iii <b>Product and channel mix</b>    | Shift from ownership to usership (rise of operating leasing), particularly on New Auto<br><br>Gradual shift from dealer networks to third-party channels, with the former remaining dominant | From <b>~8%</b> operating leasing in retail New Auto financing mix to <b>~15%</b> | Assumed considering laggard G5 (Spain) financing mix          |

1. ~3% CAGR on New Auto (Retail and SME & corporate) and Used Auto SME & corporate, ~5% CAGR on Used Auto Retail

Source: Hellenic Republic Ministry of Environment and Energy: NECP page 62, IMF Datamapper April 2025, Internal McKinsey model for G5 penetration rate for B2C passenger cars

**In 2024, ~290k cars were sold in Greece for a total car value of ~5.3B€, but only ~36% were financed**



## Key insights

## Retail

- **Used car retail sales are twice as high as new car sales** (~135k used cars vs. ~62k new cars)
- **Only ~25% financing penetration** on cars sales value (~75% cash)

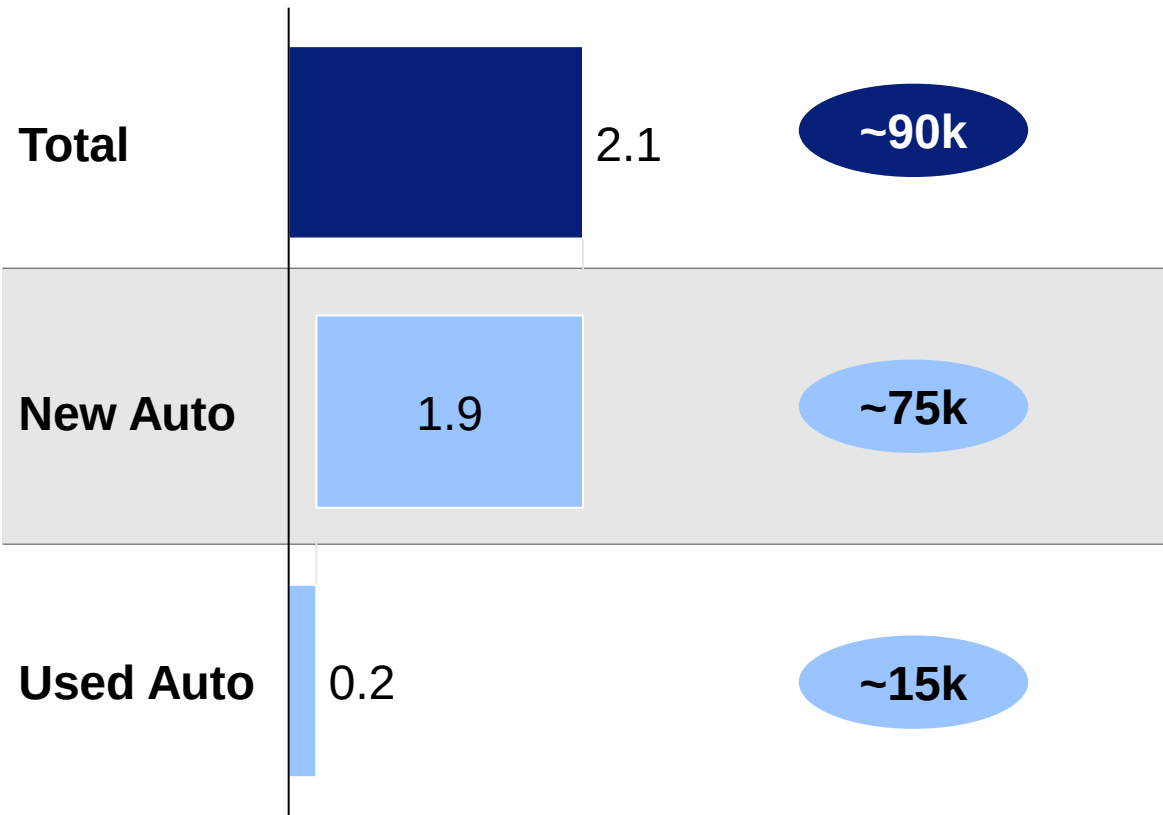
## SME & corporate

- **Market concentrated on new cars sales** (~75k new cars vs. 15k used cars)
- **55% financing penetration** on cars sales value (~95% without considering RAC)

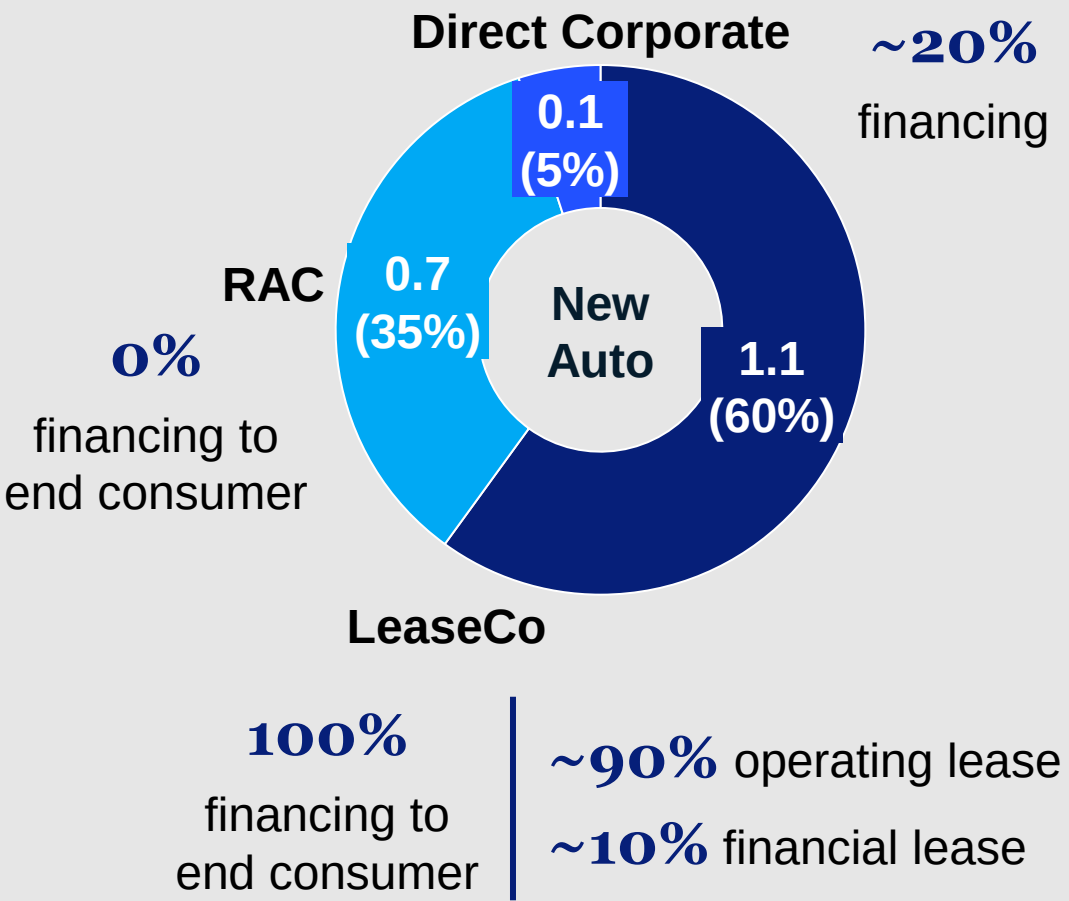
1. For New (Used) Auto: Average loan amount of 15,000€ (8,500€), average interest margin of 4.9% (7.7%), average loan duration of 4.5y, full potential of 5y loan stock, linear depreciation; base leasing of 1,500€ (750€) for 3-year contract, additional 1,500€ (1,500€) for services, average lease duration of 3y, full potential of 3y leasing stock

# B | SME & corporate: market is largely dominated by leasing companies offering operating leasing solutions on new cars

Car sales<sup>1</sup>, B€                      Cars sold, #k



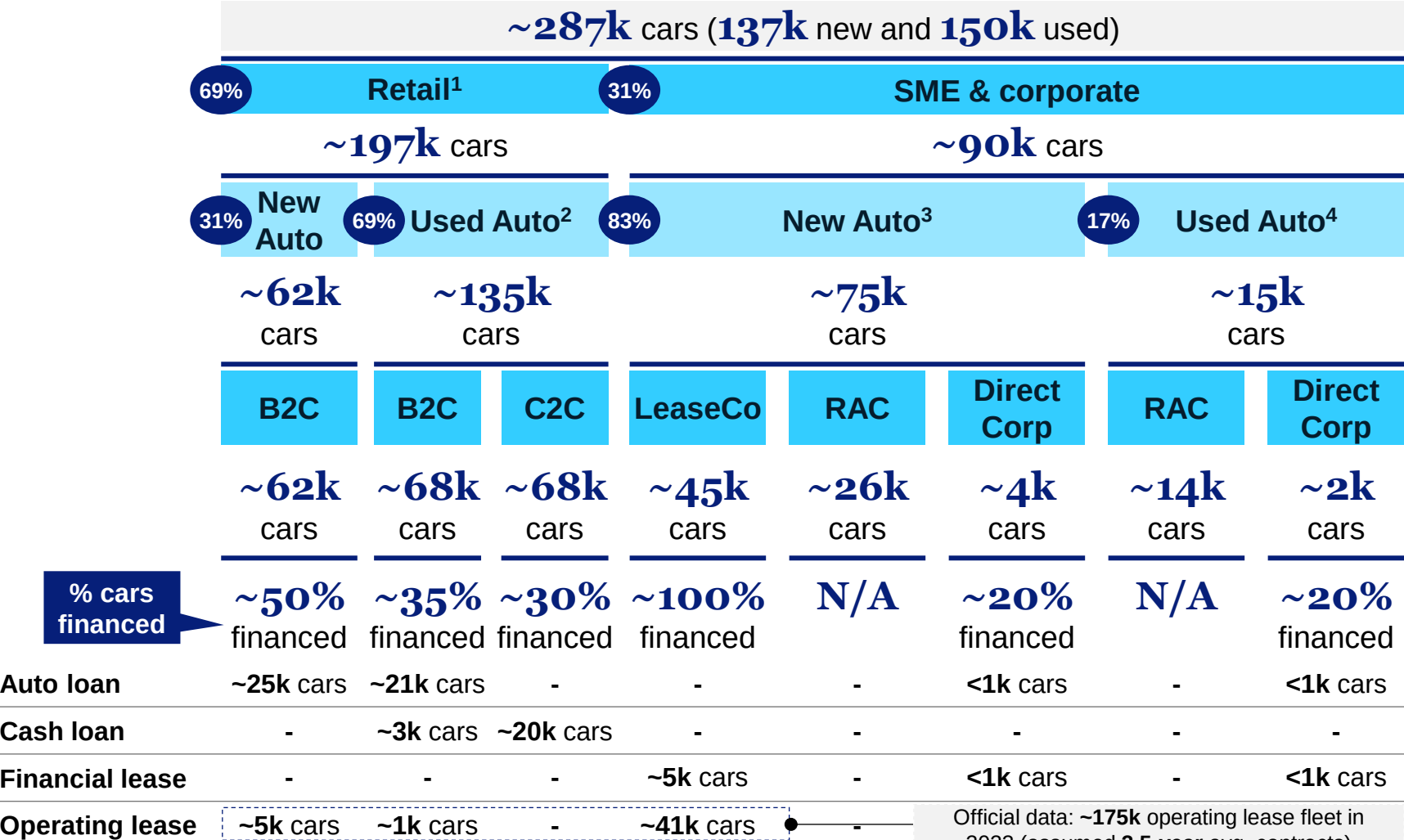
New Auto car sales per channel, B€



1. Average car value of 25,000€ for New Auto and 13,000€ for Used Auto

# Greek auto finance market sizing | Overview of 2024 car market by segment

## Breakdown of 2024 car sold per segment and product offering



1. Individuals, freelancers, personal companies ; 2. Retail Used Auto: 50% B2C, 50% C2C ; 3. Corporate New Auto: 90% LeaseCo, 5% RAC, 5% Direct Corp ; 4. Corporate Used Auto: 90% RAC, 10% Direct Corp

## Key insights

- Greece had ~287k cars sold in 2024, with ~197k from retail (~70%) and ~90k from SME & corporate (~30%)
- Retail:** Used Auto sales are twice as many as new ones (~135k vs. ~62k), with dealers being the dominant channel (>70% of total car sold), though ~50% of used car sales occur on C2C
  - SME & corporate:** Segment mainly driven by new car sold (~80%), mainly through LeaseCos and RACs, which account for ~95% of SME & corporate volumes, while direct sales to corporates is residual
- Greece has a car retail financing penetration of ~35%
- New Auto:** ~50% financed, mostly via autoloans (~80%), with operating leasing gaining traction (~20%)
  - Used Auto:** ~30-35% financed, evenly split between autoloans and cash loans, with the latter mainly used for C2C transactions
- Operational leasing is highly penetrated** within the **SME & corporate segment (>85% of financing)**; residual volumes financed through direct corporate autoloans

# Despite the low penetration, the Greek autofinance market today represents a sizeable opportunity of 240M€ in revenue after risk

Breakdown of 2024 revenue after risk (RAR) potential<sup>1</sup> per segment and product offering, M€

|               |                 | Retail    | SME & corporate | Total  |
|---------------|-----------------|-----------|-----------------|--------|
| Product offer | Auto loan       | i ~24M€   | <1M€            | ~25M€  |
|               |                 | ~28M€     | <1M€            | ~29M€  |
|               | Cash loan       | ii -      | -               | -      |
|               |                 | ~17M€     | -               | ~17M€  |
|               | Financial lease | -         | ~9M€            | ~9M€   |
|               |                 | -         | -               | -      |
|               | Operating lease | iii ~16M€ | iv ~142M€       | ~158M€ |
|               |                 | ~2M€      | -               | ~2M€   |
| Total         |                 | ~88M€     | ~152M€          | ~240M€ |



Detailed next

## Main value pools

**Retail (~40% of total value pool)**

- i 60% concentrated on **auto loans** with equal distribution between New Auto and Used Auto
- ii 20% coming from **cash loan disbursed** through Banks direct channels and used for **P2P transactions**
- iii 20% on **operating leasing**, which represents already a sizeable opportunity

**SME & corporate (~60% of total value pool)**

- iv Market predominantly driven by **operating leasing** via dealers (>90%)

1. For New (Used) Auto: Average loan amount of 15,000€ (8,500€), average interest margin of 4.9% (7.7%), average loan duration of 4.5y, full potential of 5y loan stock, linear depreciation; base leasing of 1,500€ (750€) for 3-year contract, additional 1,500€ (1,500€) for services, average lease duration of 3y, full potential of 3y leasing stock  
2. CoR adjusted to not account for one-time release of provisions in 2024

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# 12 strategic initiatives and 2 critical cross-enablers defined

## Value creation opportunities



### A| Entering the retail leasing market



### B| Expanding digital presence



### C| Increasing used car financing



### D| Increasing Cross-selling of insurance product



### E| Launching B2B financing offering



### F| Entering the SME & corporate leasing market



## Initiatives

- A1 Develop an **operating leasing offering** (e.g., comprehensive service package, flexible contract terms) for **new and used cars**
- A2 Develop **retail financial leasing products** on **new and used cars**
- B1 Expand Loan availability **via used cars digital platforms** (e.g., marketplaces/aggregators)
- B2 Develop a **branded digital D2C car loan offering** on **Eurobank's channels** (e.g., app, web) enabling vehicles purchase from **individuals** (C2C) and from **dealers** (B2C)
- B3 Develop an **omnichannel offering** for **OEMs** (e.g., Toyota) and **dealers**
- C1 **Launch new products** such as **balloon financing**
- C2 Review **credit policies** and **risk sharing mechanisms** (e.g., possibility of buy back from dealers)
- D1 **Boost sales** through a systematic call-center on target channels
- E1 **Develop a B2B financing offering** for **Fleet wholesales** (e.g., RACs, LeaseCos)
- E2 **Develop B2B financing offering tailored to auto dealers** (e.g., stock finance, **floor plan** that integrates with dealer systems)
- F1 Develop an **operating leasing offering SMEs & corporate** (e.g., comprehensive service package, flexible contract terms) for **new and used cars**
- F2 Develop **SMEs & corporate financial leasing products** on **new and used cars**



## Enablers

**Establish re-possession capabilities** to ensure collateralization

**Develop infrastructure (e.g., platform)** to ensure and effective go-to-market and scalability

x% ERB based contract  
profit contribution in RAR

Activities owned by ERB

*In financial leasing,  
customer can  
exercise option to  
buy the car*

# A | Customer journey for retail leasing



## Vehicle selection

Customer selects  
preferred car at dealer  
showroom



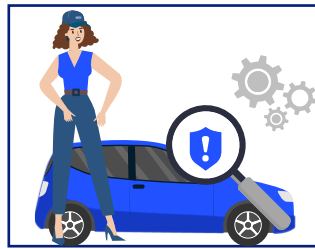
## Contract signing

ERB and customer enter  
in a 36-month operating  
lease contract



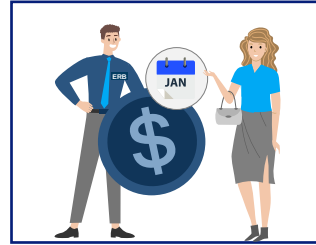
## Vehicle purchase

ERB buys the car selected  
by the customer from the  
dealer with a discount  
(buy-to-need basis)



## Vehicle repossession and de-fleeting

Car is returned by the customer, and  
dealer proceeds with de-fleeting and  
inspection of the vehicle



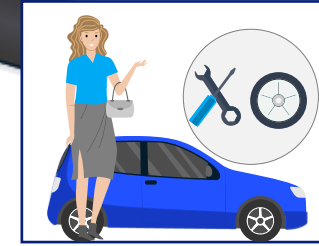
## Initial payment

Customer makes a down-  
payment and ERB starts  
collecting a fixed monthly  
fee for the next 35 months



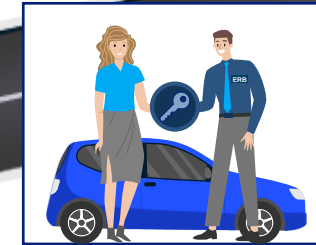
## Remarketing

ERB resells the  
vehicle through a  
third-party digital  
platform



## Services

Customer is steered to dealer  
preferred workshop network to  
benefit from all services, incl.  
maintenance, repairs, assistance



## Vehicle pickup

Customer can pickup  
the car from the  
dealer showroom



## Insurance

ERB provides its own  
insurance via internal  
body (ERB Life  
Insurance)

# A | In the on-balance sheet model, profits are split between the customer instalments, the insurance and the services

■ Asset management
 ■ Leasing
 ■ Services, incl. insurance
 ● High
 ● Low

    Financial leasing base contract
     Operating leasing base contract

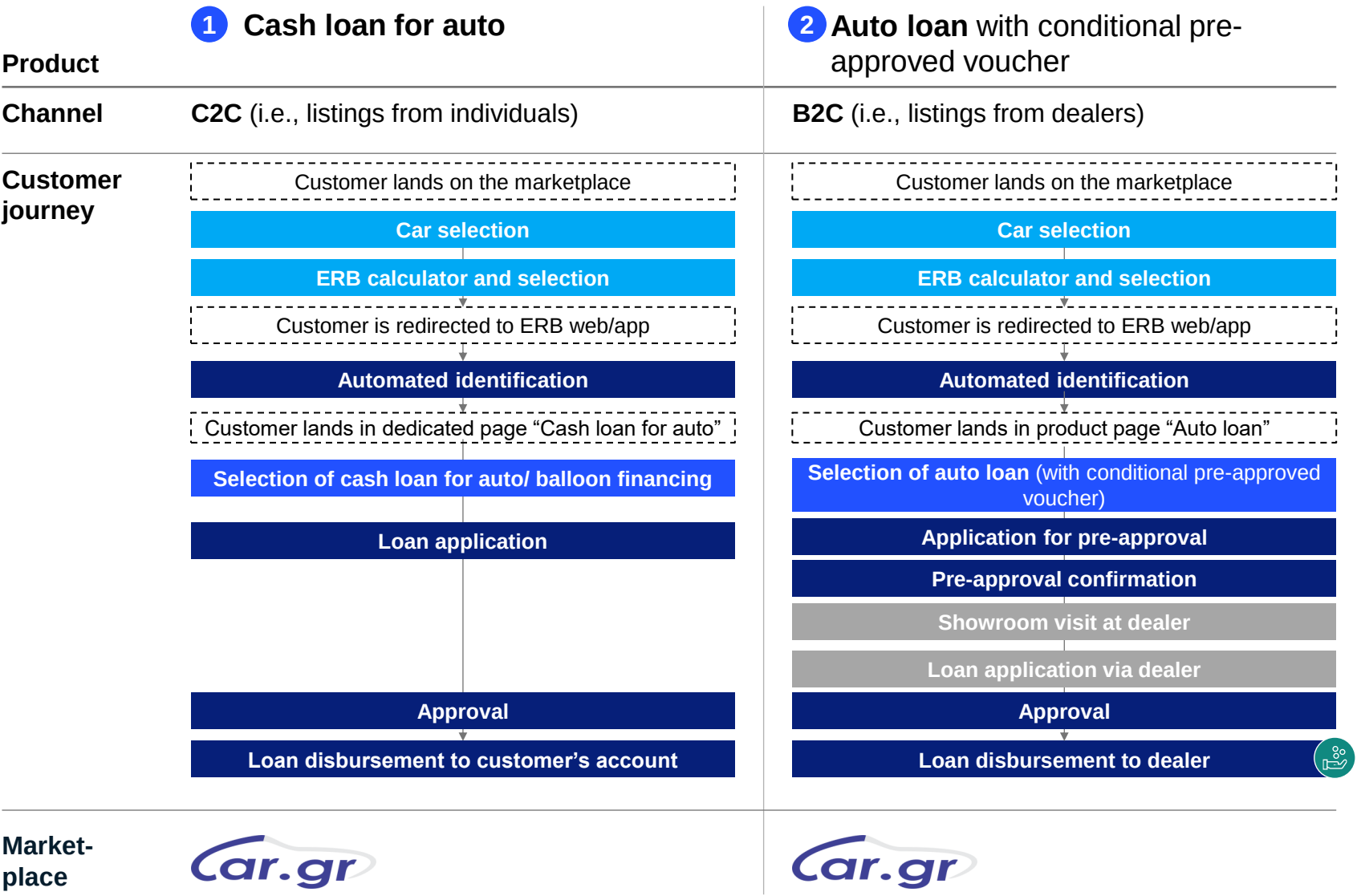
## Value chain & profit contribution

| Value chain                       | <div> <div>Initiation of the contract</div> <div>Lifecycle of the contract</div> <div>End of the contract</div> </div> |                                                                                           |                                                                                                                                                 |                                                                                                                                                |                                                                                                                                  |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
|                                   | Procurement                                                                                                            | Leasing contract                                                                          | Insurance                                                                                                                                       | Services                                                                                                                                       | Remarketing (excl. in cases of renewal)                                                                                          |
| Profit contribution               | ~5%                                                                                                                    | ~40%                                                                                      | ~35-40%                                                                                                                                         |                                                                                                                                                | ~10-15%                                                                                                                          |
| RAR per new car per year          | ~50€                                                                                                                   | ~400€                                                                                     | ~350-400€                                                                                                                                       |                                                                                                                                                | ~100-150€                                                                                                                        |
| Description                       | The provider buys the vehicle – at a lower price than in the contract with the client                                  | The provider collect monthly instalments from the customer                                | The provider is usually acting a business provider for an external insurance or provide own insurance by internal body                          | The provider provides services during the lifetime of the contract.<br>Main services include Repair, Maintenance and Tire (RMT) and Assistance | The asset is returned to the provider that can sell it entire or in single parts at a higher price than the asset residual value |
| Revenue recurrence                | One-time for each new contract or renewal                                                                              | Recurring                                                                                 | Recurring if provided by internal insurance<br>One-time otherwise                                                                               | Recurring                                                                                                                                      | One-time for each contract renewal or end                                                                                        |
| Associated risks for the provider | <span style="color: #AEC6E0;">●</span> To be competitive, need to have preferred prices with the OEMs                  | <span style="color: #0070C0;">●</span> Provider bears the risk of client payments default | <span style="color: #AEC6E0;">●</span> Risk if insurance is provided by internal insurance, otherwise risk transferred to the insurance company | <span style="color: #0070C0;">●</span> Risk of service discontinuation as main source of profit for the services provider                      | <span style="color: #AEC6E0;">●</span> Risk on residual value on the car and ability to generate profit                          |

# B.1 | Details on Eurobank digital platform product offer and journey

Preliminary

Marketplace Bank's systems Recommended product Dealer remuneration



## Key insights

- Eurobank can expand on digital platforms, delivering two auto financing options:
- Cash loan for auto on all listings from individuals (C2C), offering more competitive pricing terms vs. TBI Bank
  - Auto loans on listings from dealers (B2C)